TENTATIVE RULINGS

DEPT CX102

Judge Layne H. Melzer

Court Reporters: Official court reporters (i.e., court reporters employed by the Court) are **NOT** typically provided for law and motion matters in this department. If a party desires a record of a law and motion proceeding, it will be the party's responsibility to provide a court reporter. Parties must comply with the court's policy on the use of privately retained court reporters which can be found on the court's website at Court Reporter Services | Superior Court of California | County of Orange.

Tentative rulings: The court endeavors to post tentative rulings on the court's website in the morning, prior to the afternoon hearing. However, ongoing proceedings such as jury trials may prevent posting by that time. Tentative rulings may not be posted in every case. Please do not call the department for tentative rulings if tentative rulings have not been posted. The court will not entertain a request to continue a hearing or the filing of further documents once a tentative ruling has been posted.

Submitting on tentative rulings: If all counsel intend to submit on the tentative ruling and do not desire oral argument, please advise the Courtroom Clerk or Courtroom Attendant by calling (657) 622-5302. Please do not call the department unless all parties submit on the tentative ruling. If all sides submit on the tentative ruling and so advise the court, the tentative ruling shall become the court's final ruling and the prevailing party shall give notice of the ruling and prepare an order for the court's signature if appropriate under Cal. R. Ct. 3.1312.

Non-appearances: If nobody appears for the hearing and the court has not been notified that all parties submit on the tentative ruling, the court shall determine whether the matter is taken off calendar or the tentative ruling becomes the final ruling. The Court also might make a different order at the hearing. (*Lewis v. Fletcher Jones Motor Cars, Inc.* (2012) 205 Cal.App.4th 436, 442, fn. 1.)

APPEARANCES: Department CX102 conducts non-evidentiary proceedings, such as law and motion, remotely, by Zoom videoconference pursuant to CCP §367.75, California Rule of Court (CRC) 3.672 and Orange County Local Rule (OCLR) 375. All counsel and self-represented parties appearing for such hearings must check-in online through the Court's civil video appearance website at Civil Remote Hearings | Superior Court of California | County of Orange prior to the commencement of their hearing. Once the online check-in is completed, participants will be prompted to join the courtroom's Zoom hearing session. Participants will initially be directed to a virtual waiting room pending the start of their specific video hearing. Check-in instructions and instructional video are available on the website. The Court's "Appearance Procedures and Information--Civil Unlimited and Complex" ("Appearance Procedures") and "Guidelines for Remote Appearances" ("Guidelines") contained on the Court's website will be strictly enforced. Parties preferring to appear in-person for law and motion hearings may do so pursuant to CCP §367.75 and OCLR 375.

PUBLIC ACCESS: The courtroom remains open for all evidentiary and non-evidentiary proceedings.

No filming, broadcasting, photography, or electronic recording is permitted of the video session pursuant to California Rules of Court, rule 1.150 and Orange County Superior Court rule 180.

TENTATIVE RULINGS 8/06/2026 02:00 PM

100	**Medero vs. Norada Capital Management** **2024-01445239**	**Case Management Conference**
101	**Burns vs. Power Paragon, Inc.** **2021-01197621**	**Final Accounting** Plaintiff Patrick Burns's Final Accounting hearing is **CONTINUED to September, 10, 2026 at 2:00 p.m. in Department CX102** to confirm that the amount of the uncashed funds after the check-cashing deadline have been delivered to the cy pres recipient, that the administrator's work is complete, and that the Court's file thus may be closed. All supporting papers must be filed at least sixteen (16) court days before the continued hearing date. If a supplemental report cannot be filed by this deadline, counsel must request a continuance. Failure to request a continuance may result in the issuance of an Order to Show Cause re Monetary Sanctions. Additionally, the Court notes that the Court's previous signed order at ROA #150 contains a typo in ¶ 19 as to the named of the Plaintiff to whom the Class Representative Service Payment was awarded. Plaintiff's counsel is **ORDERED** to submit an amended proposed order to correct this mistake within 5 court days of this ruling. The Court also notes that a final "judgment" has not been entered in this case, as the order signed and entered by the Court on 7/30/2025 at ROA #50 is not a "judgment." Accordingly, Plaintiff's counsel is **ORDERED** to submit a proposed judgment that complies with Code of Civil Procedure section 384.5 and Government Code section 68520, subdivision (a) within 5 court days of this ruling. Upon entry of and pursuant to the amended order and the requested Judgment, the Court will order the administrator to make the cy pres distribution contemplated by this settlement consistent with CCP 384. Plaintiff is ordered to give notice of this ruling to Defendant.

102	**Chau vs. St. Joseph Health System Home Health Agency, LLC** **2022-01268431**	**Final Accounting** The settlement administrator, Phoenix Settlement Administrators, has confirmed that the distribution of the settlement funds has been completed and made in accordance with the terms of the settlement that were approved by the Court. As Plaintiff has shown that the administrator's work is complete, the Court's file may now be closed. Plaintiff is ordered to give notice of this ruling to Defendant.
103	**Franco vs. States Logistics Services, Inc.** **2022-01239095**	**Final Accounting** The settlement administrator, ILYM Group, has confirmed that the distribution of the settlement funds has been completed and made in accordance with the terms of the settlement that were approved by the Court. As Plaintiffs have shown that the administrator's work is complete, the Court's file may now be closed. Plaintiffs are ordered to give notice of this ruling to Defendant.
104	**Garcia vs. Statewide Traffic Safety and Signs, Inc.** **2018-01011814**	**Final Accounting** The court finds all settlement distribution efforts are fully concluded. The administrator's final report (ROA 342) is thus approved, and the court's file will be closed. Plaintiff to give notice of the court's ruling, including to the LWDA, within five (5) calendar days, and file proof of service. Plaintiff to also file proof of service of ROA 342 on the LWDA.

105	**Lopez vs. NexGen Air Conditioning and Heating, LLC** **2022-01295800**	**Final Accounting** The settlement administrator, CPT Group, Inc., has confirmed that the distribution of the settlement funds has been completed and made in accordance with the terms of the settlement that were approved by the Court. As Plaintiff has shown that the administrator's work is complete, the Court's file may now be closed. Plaintiff is ordered to give notice of this ruling to Defendant.
106	**Wilson vs. Allview Real Estate** **2025-01527675**	**Motion to Appear Pro Hac Vice** Plaintiff's application for pro hac vice admission of attorney Molly L. Zhu is **GRANTED**. On or before the anniversary of the date of this order, if this attorney remains counsel for the moving party, the moving party must pay an annual renewal fee of five hundred dollars ($500) for each year that the attorney maintains pro hac vice status in this case. (Gov. Code, § 70617, subd. (e)(2).) Moving party shall provide notice.
108	**Southern California Edison Company vs. California State Board of Equalization** **2025-01534286**	**Motion for Leave to Intervene** **The City of Fontana's motion to intervene is CONTINUED to September 17, 2026 at 2:00 p.m. in Department CX102.** Moving party's proof of service indicates that it served its moving papers only on Plaintiff and Defendant California State Board of Equalization. (ROA #56; see also ROA #87.) There is no indication that any of the 19 County Defendants have been served with the instant motion. (Code Civ. Proc. [CCP], § 1014 [moving papers must be served on all parties who have appeared in the action]; see also Cal. Rules of Court, rule 3.1300(c) ["[p]roof of service of the moving papers must be filed no later than five court days before the time appointed for the hearing"].) Accordingly, moving party is **ORDERED** to file proof of service of its moving papers on *all parties* at least 16 court days before the continued hearing. Failure to do so will result in the hearing being vacated. Moving party shall give notice.

109	**Quiroz vs. Socal Food Group, LP, a California limited partnership** **2025-01495484**	**Case Management Conference**
110	**Garcia vs. Socal Food Group LP, a California limited partnership** **2025-01536736**	**Case Management Conference**
111	**Garcia vs. Socal Food Group LP, a California limited partnership** **2025-01494174**	**1. Motion to Compel Arbitration** **2. Case Management Conference** Defendant SoCal Food Group LP's Motion to Compel Arbitration and Request to Stay Litigation is **DENIED**. **Plaintiff's Evidentiary Objections** The Court OVERRULES all of Plaintiff's objections to the declaration of Setphany Yunuen Marquez Barrera. The Court admits Exhibit A, i.e., the parties' agreement, to the extent it shows the document's existence and terms. **Existence of Agreement** Both the Federal Arbitration Act ("FAA") and the California Arbitration Act ("CAA") require the existence of a valid arbitration agreement before arbitration can be compelled. (See 9 U.S.C. § 2; Code Civ. Proc. [CCP], § 1281.2.) A trial court must order arbitration if it determines that an agreement to arbitrate the controversy exists. (CCP, § 1281.2.) The petitioner bears the initial burden of producing prima facie evidence of a written agreement to arbitrate the controversy, which can be satisfied either by setting forth the agreement's provisions in the motion or by attaching to the motion a copy of the arbitration agreement purporting to bear the opposing party's signature; "[f]or this step, it is not necessary to follow

normal procedures of document authentication." (*Gamboa v. Northeast Community Clinic* (2021) 72 Cal.App.5th 158, 165, internal quotes omitted; see also Cal. Rules of Court [CRC], rule 3.1330 [requiring same].) The burden then shifts to the opposing party to produce evidence to challenge the authenticity of the agreement. (*Gamboa*, *supra*, 72 Cal.App.5th at p. 165.) "If the opposing party meets its burden of producing evidence, then in the third step, the moving party must establish with admissible evidence a valid arbitration agreement between the parties." (*Id.* at pp. 166-167.)

The petitioner must satisfy their burden "by a preponderance of the evidence, while a party opposing the petition bears the burden of proving by a preponderance of the evidence any fact necessary to its defense. The trial court sits as the trier of fact, weighing all the affidavits, declarations, and other documentary evidence, and any oral testimony the court may receive at its discretion, to reach a final determination." (*Ruiz v. Moss Bros. Auto Group, Inc.* (2014) 232 Cal.App.4th 836, 842, internal citations omitted.)

Here, Defendant satisfied its initial burden by producing a copy of the arbitration agreement signed by Plaintiff on 4/16/2025. (ROA #52 [Marquez Barrera Decl.], ¶ 10, Exh. A [Agreement].)

In opposition, Plaintiff does not dispute that he signed the agreement. Instead, he contends that he has "no recollection of ever receiving, consenting to, or specifically signing" the agreement. (ROA #63 [Garcia Decl.], ¶ 8.) However, "an individual is capable of recognizing his or her own personal signature. If the individual does not deny that the handwritten personal signature is his or her won, that person's failure to remember signing is of little or no significance." (*Iyere v. Wise Auto Group* (2023) 87 Cal.App.5th 747, 757; see also *id.* at pp. 756 ["in the absence of any evidence that their purported signatures were not their own, there was no evidence that plaintiffs did not in fact sign the agreement"], 758 ["If a party confronted with his or her handwritten signature on an arbitration agreement is unable to allege that the signature is inauthentic or forged, the fact that that person does not recall signing the agreement neither creates a factual dispute as to the signature's authenticity nor affords an independent basis to find that a contract was not formed"].)

Plaintiff also contends that there was no mutual assent or that he did not knowingly and voluntarily sign the agreement because:

- 9. No one at SFG ever explained to me the contents or the significance of an arbitration agreement. I was never told by anyone at SFG that I was giving up my rights to bring a lawsuit in court. In fact, the term "arbitration" as related to my employment was never brought up throughout the onboarding process or at any other time during my employment with SFG.

- 10. No employee or representative of Defendant, including Ms. Marquez Barrera, told me that acknowledging or signing such an

		agreement was voluntary, that I could negotiate the terms of the agreement, that I could otherwise hold off on signing the agreement until I consulted with an attorney, or that I could revoke the agreement at a later time. I was never afforded the opportunity to ask questions about the onboarding documents, much less any arbitration agreement. I recall being told that I needed to sign the onboarding documents as a condition of working for SFG and that I could not begin employment with SFG until I signed documents. I was time pressured to sign the onboarding documents and felt pressured by the SFG representative to sign the documents as quickly as possible. (Garcia Decl., ¶¶ 9-10.) Even when "*there is no evidence to contradict these facts*, typically these arguments would not be dispositive and a person would be bound by the arbitration agreement he or she had signed. No law requires that parties dealing at arm's length have a duty to explain to each other the terms of a written contract. Further, one who accepts or signs an instrument, which on its face is a contract, is deemed to assent to all its terms, and cannot escape liability on the ground that he has not read it. If he cannot read, he should have read it read or explained to him." (*Ramos v. Westlake Services, LLC* (2015) 242 Cal.App.4th 674, 686, internal quotes, brackets, & citations omitted, emphasis added.) Moreover, "[i]n the world of paper contracting, the outward manifestation of assent to the same thing by both parties is often readily established by the offeree's receipt of the physical contract. The general rule is that a person is bound by the printed contractual provisions of an instrument which he accepts delivery of if, as an ordinarily prudent person, he could and should have read such provisions." (*Sellers v. JustAnswer LLC* (2021) 73 Cal.App.5th 444, 461, internal quotes brackets, & citation omitted, citing *Cal. State Automobile Assn. Inter-Insurance Bureau v. Garret Garages, Inc.* (1967) 257 Cal.App.2d 71, 76.) In any case, Defendant also provided contrary evidence: • 5. As part of SoCal's onboarding process for new employees, new hires are provided an onboarding packet consisting of standard hiring documents, including, among other items, the Mutual Agreement to Arbitrate Claims. . . . After a hiring decision is made, the onboarding packet is provided for the employee to review and complete. New employees are given time to review the documents and may complete them on site or take them home and return them completed. . . . • 7. At all times during my employment with SoCal, employees are invited to ask questions if there is anything they do not understand in

		the on boarding documents or if they want to clarify any issue regarding their employment. • 8. On or about April 16, 2025, SoCal hired Kalie Garcia . . . . Mr. Garcia spoke English well, and appeared to understand the onboarding paperwork. He spent approximately 30 minutes reviewing and completing the onboarding packet. His primary questions related to pay and hours. He was offered $20.00 per hour as a part-time employee, and he accepted. . . . • 11. I am aware of no attempt by Mr. Garcia to ask questions regarding the arbitration agreement or to opt out during his employment. Based on my role and involvement in onboarding and recordkeeping, I would expect to be informed of any opt-out request or objection raised at the store level, and I am not aware of any such request. I am also not aware of any written modification to the arbitration agreement approved by Mr. Garcia and SoCal. (Marquez Barrera Decl., ¶¶ 5, 7-8, 11.) But as noted above, even without contrary evidence, Plaintiff's argument lacks merit. Plaintiff has not presented sufficient evidence to establish that Plaintiff was prevented by Defendant from asking questions or taking time to read and understand the agreement. Plaintiff has failed to establish that there was no mutual assent. Nor is there sufficient evidence to establish fraud in the execution, as Plaintiff does not contend that Defendant affirmatively misrepresented anything about the agreement he was signing. Even if Defendant had told Plaintiff that the arbitration agreement was "unimportant, or that plaintiff[ ] need not read [it]," "[s]uch statements, even if falsely and fraudulently made, do not void a written contract, because it is generally unreasonable, in reliance on such assurances, to neglect to read a written agreement before signing it. One party's making of such an assurance does not, by itself, deprive the other party to a prospective contract of the reasonable opportunity to discover the character and essential terms of the agreement." (*Rosenthal v. Great Western Financial Securities Corp.* (1996) 14 Cal.4th 394, 424.) Indeed, even "[o]ne party's misrepresentations as to the nature or character of the writing do not negate the other party's apparent manifestation of assent, if the second party had reasonable opportunity to know the character or essential terms of the proposed contract. If a party, with such reasonable opportunity, fails to learn the nature of the document he or she signs, such negligence precludes a finding the contract is void for fraud in the execution. [¶] It follows that one party's *unreasonable* reliance on the other's misrepresentations, resulting in a failure to read a written agreement before signing it, is an insufficient basis, under the doctrine of

fraud in the execution, for permitting that party to avoid an arbitration agreement contained in the contract." (*Id.* at p. 423.)

Therefore, the Court finds that the arbitration agreement exists between the parties.

FAA Governs

Plaintiff also disputes that the FAA applies to this arbitration agreement because Defendant has not adequately shown that the agreement "evidenc[es] a transaction involving commerce." (9 U.S.C. § 2.).

However, the agreement itself provides that "the Federal Arbitration Act shall govern the interpretation, enforcement and all proceedings pursuant to this Agreement." (Agreement, p. 1.) This is a commonly acceptable and enforceable provision in an arbitration agreement. (See *Volt Information Sciences, Inc. v. Bd. of Trustees of Leland Stanford Junior University* (1989) 489 U.S. 468, 479 ["parties are generally free to structure their arbitration agreements as they see fit," including by agreement to arbitration under the FAA]; *Barrera v. Apple v. American Group LLC* (2023) 95 Cal.App.5th 63, 76 ["since arbitration is a matter of contract, the FAA also applies if it is so stated in the agreement"].)

Therefore, the FAA governs this agreement.

Delegation Clause

Defendant's moving paper does not argue that this Court cannot decide threshold questions of the enforceability of the agreement or arbitrability of the parties' claims. (See ROA #48 [Mot. P&A], pp. 8-9 [simply contending to this Court that Plaintiff's claim fall[s] squarely within the scope of the Agreement" and that the Court should enforce the agreement].)

Nevertheless, in opposition, Plaintiff contends that the agreement does not contain a clear and unmistakable delegation clause. (ROA #67 [Opp.], pp. 12-13.) it is unclear why Plaintiff made this argument in the first place, as Defendant did not contend that the Court should not decide enforceability or arbitrability.

In reply, however, Defendant contends that the agreement *does* contain a clear and unmistakable delegation clause and that "issues of arbitrability and the interpretation of the Agreement are left to the arbitrator, not the Court." (Reply at p. 11.)

"Under the Federal Arbitration Act (FAA), the enforceability of an arbitration agreement is ordinarily to be determined by the court. The parties may agree in the arbitration provision, however, that the enforceability issue will be delegated to the arbitrator." (*Ajamian v. CantorCO2d, L.P.* (2012) 203 Cal.App.4th 771, 781, internal citations omitted, citing *AT&T Technologies v. Communications Workers* (1986) 475 U.S. 643, 649.) "To establish this exception, it must be shown by 'clear and unmistakable' evidence that the parties intended to delegate the issue to the arbitrator." (*Id.*) "The "clear and unmistakable" test reflects a 'heightened standard' of proof." (*Id.* at p. 782.) "That is because the question of who would decide the unconscionability of an arbitration provision is not one that the parties would likely focus upon in contracting, and the default expectancy is that the court would decide the matter. Thus, the Supreme Court has decreed, a contract's silence or ambiguity about the arbitrator's power in this regard cannot satisfy the clear and unmistakable evidence standard." (*Id.*, internal citations omitted, citing *First Options of Chicago, Inc. v. Kaplan* (1995) 514 U.S. 938, 943-945.)

Here, the arbitration agreement states: "If there is a dispute as to whether a claim is subject to arbitration, or regarding interpretation of this Agreement, the Arbitrator will decide such issue." (Agreement at p. 3, ¶ 4.)

The Court finds that this delegation clause does not clearly and unmistakably delegate to the arbitrator questions about the "enforceability" of the agreement, as the agreement does not explicitly include "enforceability" as among the issues delegated to the arbitrator. (Cf. *B.D. v. Blizzard Entertainment* (2022) 76 Cal.App.5th 931, 957 [finding questions regarding enforceability delegated to arbitrator where arbitration provision uses word "enforceability" in delegation clause]; *Aanderud v. Super. Ct.* (2017) 13 Cal.App.5th 880, 892 [same].)

Therefore, the Court may and will determine the enforceability of the parties' arbitration agreement.

Unconscionability

The remainder of Plaintiff's arguments go to whether the agreement is enforceable due to unconscionability.

Unconscionability has both a procedural and a substantive element: The procedural element focuses on the existence of "oppression or surprise due to unequal bargaining power," and the substantive element focuses on "overly harsh or one-sided results." (*Armendariz v. Foundation Health Psychcare Services, Inc.* (2000) 24 Cal.4th 83, 114, internal quotes omitted.) For unconscionability to render an agreement or clause unenforceable, both procedural and substantive unconscionability must be present—but "they need not be present in the same degree." (*Id.*) A "sliding scale" applies such that "the more substantively oppressive the contract term, the less evidence of procedural unconscionability is required to come to the conclusion that the term is unenforceable, and vice versa." (*Id.*)

The party opposing arbitration bears the burden of proving an unconscionability defense. (*Prima Donna Development Corp. v. Wells Fargo Bank, N.A.* (2019) 42 Cal.App.5th 22, 42.)

A. Procedural Unconscionability

"Procedural unconscionability concerns the manner in which the contract was negotiated and the circumstances of the parties at that time. It focuses on the factors of oppression and surprise. The oppression component arises from an inequality of bargaining power of the parties to the contract and an absence of real negotiation or a meaningful choice on the part of the weaker party." (*Kinney v. United HealthCare Services, Inc.* (1999) 70 Cal.App.4th 1322, 1329, internal quotes & citations omitted.) "'Surprise' involves the extent to which the supposedly agreed-upon terms of the bargain are hidden in a prolix printed form drafted by the party seeking to enforce the disputed terms." (*A & M Produce Co. v. FMC Corp.* (1982) 135 Cal.App.3d 473, 486.)

1. Contract of Adhesion

Plaintiff contends that the instant agreement is an adhesion contract because it was drafted by Defendant, presented on a preprinted form with no blanks for negotiated terms, and offered to Plaintiff on a take-it-or-leave-it basis as part of onboarding paperwork that had to be completed before he could begin working. (Opp. at p. 6.)

Where an arbitration agreement is "imposed on employees as a condition of employment and there was no opportunity to negotiate," there is "little dispute" that the arbitration agreement is "adhesive." (*Armendariz*, *supra*, 24 Cal.4th at pp. 114-115; *see also id.* at p. 113 [defining "contract of adhesion" as "a standardized contract, which[is] imposed and drafted by the party of superior bargaining strength, relegates to the subscribing party only the opportunity to adhere to the contract or reject it"].)

Here, Defendant also contends that "Mr. Garcia's acceptance of the agreement was voluntary, and was not mandatory for hire." (Marquez Barrera Decl., ¶ 14.) Indeed, the agreement itself includes a ¶ 8 titled "Voluntary Agreement" that states in all caps:

> I acknowldege [*sic*] that I have carefully read this agreement, that I understsand [*sic*] its terms, that all understandings and Agreements between SFG and me relating to the subjects covered in the agreement are contained in it, and that I have entered into this agreement voluntarily and not in reliance on any promises or representations by the company other than those contained in this agreement itself.
>
> I understand that by signing this agreement I am giving up my right to a jury trial.
>
> I further acknowledge that I have been given the opportunity to discuss this agreement with my private legal counsel and have availed myself of that opportunity to the extent I wish to do so.

(Agreement, pp. 3-4, ¶ 8, capitalization omitted, underlining original.)

However, as Defendant also acknowledges, "the onboarding packet is provided for the employee to review and complete," and "[a]s a standard practice, employees are not scheduled to begin work unless and until the required onboarding documents are completed and signed." (Marquez Barrera Decl., ¶¶ 5-6.) Moreover, Plaintiff attests that he "recall[s] being told that [he] needed to sign the onboarding documents as a condition of working for SFG and that [he] could not begin employment with SFG until [he] signed documents." (Garcia Decl., ¶ 10.)

The Court finds that in light of this evidence, the agreement is adhesive because Plaintiff was not given any opportunity to negotiate the terms and was given the agreement on a take-it-or-leave-it basis.

In any case, "the adhesive nature of a contract is one factor the courts may consider in determining the degree of procedural unconscionability." (*Carmona v. Lincoln Millennium Car Wash, Inc.* (2014) 226 Cal.App.4th 74, 84, fn. 4.) Moreover, the "adhesive aspect of an agreement is not dispositive," as overall enforceability still depends on the "sliding scale" analysis of procedural and substantive unconscionability. (*Serpa v. Cal. Surety Investigations, Inc.* (2013) 215 Cal.App.4th 695, 704; see also *Graham v. Scissor-Tail, Inc.* (1981) 28 Cal.3d 807, 817 [contracts of adhesion are "an inevitable fact of life for all citizens"].)

Therefore, Plaintiff has shown a minimal degree of procedural unconscionability due to the adhesive nature of the agreement.

2. Surprise

Surprise occurs when "the allegedly unconscionable provision is hidden within a prolix printed form." (*OTO, L.L.C. v. Kho* (2019) 8 Cal.5th 111, 126, internal quotes omitted.)

Here, Plaintiff contends that there was surprise because he was not informed of the terms or significance of the arbitration agreement, and the agreement was among the "stack" of onboarding documents he had to review and sign. (Opp. at p. 6.)

However, there is insufficient evidence to establish how many documents Plaintiff was required to review as part of the onboarding materials. Moreover, the parties do not dispute that the arbitration agreement was a standalone, 4-page document clearly labeled "Mutual Agreement to Arbitrate Claims" in bold. (Agreement, p. 1, bolding omitted.)

Under these facts, the Court does not find that the agreement is procedurally unconscionable due to surprise.

B. Substantive Unconscionability

"Substantive unconscionability pertains to the fairness of an agreement's actual terms and to assessments of whether they are overly harsh or one-sided." (*Hayden v. Elegance at Dublin* (2023) 97 Cal.App.5th 1280, 1287, internal quotes omitted.) "[T]he central idea [is] that unconscionability doctrine is concerned not with a simple old-fashioned bad bargain, but with terms that are unreasonably favorable to the more powerful party." (*Sanchez v. Valencia Holding Co., LLC* (2015) 61 Cal.4th 899, 910-911, internal quotes & citations omitted [also confirming that "overly harsh," "unduly oppressive," "so one-sided as to shock the conscience," and "unfairly one

		sided" all point to this same "central idea"].) Unconscionable terms include those that "contravene the public interest or public policy" or "terms . . . that attempt to alter in an impermissible manner fundamental duties otherwise imposed by the law." (*Id.* at p. 911.) "[W]here no meaningful choice was exercised upon entering the contract, the test is whether the terms are so extreme as to appear unconscionable according to the mores and business practices of the time and place." (*Id.* at p. 912, internal quotes omitted.) Plaintiff contends that the subject arbitration agreement is substantively unconscionable because it is overbroad in scope. This argument has merit. The agreement provides, in relevant part, in ¶ 1, "<u>Claims Covered by the Agreement</u>": SFG and I mutually consent to the resolution by arbitration of ***all claims or controversies ('claims'), past, present, or future, whether or not arising out of my affiliation with SFG (or its termination)***, that ***SFG may have against me*** or that ***I may have against SFG or against its officers, directors, partners, employees or agents in their capacity as such or otherwise***. The claims covered by this Agreement ***include, but are not limited to***, claims for wages or other compensation due; claims for breach of any contract or covenant (express or implies); ***tort claims***; claims for discrimination (including, but not limited to, race, sex, sexual orientation, religion, national origin, age, marital status or medical condition, handicap or disability); claims for benefits; and ***claims for violation of any federal, state, or other governmental law statue, regulation, or ordinance***, except claims excluded elsewhere in this Agreement. (Agreement, p. 1, ¶ 1, underlining original, bolding of each instance of "SFG" omitted, other bolding & italics added.) In *Cook v. University of Southern California* (2024) 102 Cal.App.5th 312, 321-325, similar provisions were held to be unconscionably overbroad in scope. (See also *Stoker v. Blue Origin, LLC* (2026) 120 Cal.App.5th 91, 107-108 [same].) While the *Cook* court "recognize[d] that employment contracts can provide a 'margin of safety' that grants extra protection to the party with superior bargaining power if there is a legitimate commercial need for doing so," it also held that "the 'business realities' that give rise to that special need [must be] explained in the contract itself [or] must be factually established." (*Cook*, *supra*, at p. 324.) Here, the 2023 Agreement itself offers no legitimate commercial need for such broad coverage. Nor has Defendant offered any evidence on this point. Defendant contends that *Cook* is distinguishable because "USC was and is a massive enterprise," such that "[i]f the plaintiff in *Cook* was injured at a USC football game at the Coliseum, had malpractice case at Arcadia Hospital, or had a fraud case with USC credit union, all of these claims would be covered by the arbitration agreement." (ROA #69 [Reply], p. 8.) Defendant contends that "[i]n comparison, Defendant is a small regional

chain of Del Taco franchises. Plaintiff would have no viable business relationship with Defendant apart from possibly patronizing one of its stores, which he has not indicated any intention to ever do. Defendant's operations are small and specific, and not remotely comparable to USC." (*Id.*) In support, Defendant quotes the following passage from *Ayala-Ventura v. Superior Court* (2026) 119 Cal.App.5th 241:

> The agreement in *Cook* was unconscionable in part because of the multifarious ways in which a claim against USC "completely unrelated to [Cook's] employment" could arise. (*Cook*, at 318.) As an example, the trial court observed that if Cook were to undergo a botched surgery at USC's hospital in 15 years, her claims would still be subject to arbitration. (*Ibid*.) Given CCS solely provides commercial janitorial services, we are hard-pressed to discern how a similarly vast range of claims completely unrelated to Ayala-Ventura's employment could arise, nor does Ayala-Ventura offer a similar panoply of potential claims she might assert. The Agreement's scope is not unconscionably broad under the circumstances in this case.

(Reply at p. 8.)

But here, Defendant is "a Del Tacho franchisee" that "operates 39 Del Taco restaurants throughout California." (Marquez Barrera Decl., ¶¶ 2-3.) As Defendant acknowledges in its reply, Plaintiff could patronize one of its many stores and be injured such that Plaintiff would have tort and other types of non-employment claims against Defendant that would be compelled to arbitration by the plain terms of ¶ 1 of the agreement. Given that Defendant operates a public-facing and -serving business with numerous locations, such operations create much more realistic possibilities for future tort or non-employment claims that have nothing to do with Plaintiff's employment than in *Ayala-Ventura* where the defendant-employer was a commercial janitorial services company.

Therefore, *Cook* is directly applicable, while *Ayala-Ventura* is distinguishable, and the agreement here is overbroad in scope.

The Court also finds that the agreement's duration is overbroad because it is infinite. The agreement not only explicitly states that it applies to all "future" claims, but it also explicitly states that "[t]his Agreement to arbitrate shall survive the termination of my employment and the expiration of any benefit plan." (Agreement, ¶¶ 1, 5.) Indefinite duration was also found to be substantively unconscionable under similar circumstances in *Cook*. (*Cook*, *supra*, 102 Cal.App.5th at pp. 325-326.)

Moreover, as worded, the agreement also requires Plaintiff to arbitrate his claims—including claims that have nothing to do with Plaintiff's "affiliation with SFG"—against *third parties*, including Defendant's "partners, employees, or agents", while those same parties are not bound by the agreement to arbitrate any claims they may have against Plaintiff. (*Id.*) In *Cook*, the court found similar terms to lack mutuality. (*Cook*, *supra*, 102 Cal.App.5th at pp. 326-328.) The *Cook* court explicitly noted that "[t]he concern here is not that the arbitration agreement provides ancillary benefits to third parties. The concern is that the agreement provides benefits to broad swaths of third party beneficiaries only in favor of USC without any showing of justification for this one-sided treatment." (*Id.* at p. 327.) Specifically, the *Cook* court noted that "[n]o explanation is offered as to why Cook should be required to give up the ability to ever bring claims in court against a USC employee that are unrelated to USC or her employment there." (*Id.* at p. 327.) The same is true here.

Defendant further contends that *Cook* is distinguishable because "the USC agreement was expressly required for hire." (Reply at p. 9.) While in its recitation of facts, the *Cook* court noted that "Cook's employment offer was contingent upon Plaintiff executing an employment agreement and arbitration agreement" (*Cook*, *supra*, 102 Cal.App.5th at p. 317), the *Cook* court's analysis of the substantive unconscionability of the agreement's terms did not rely on the agreement's requirement for hire. Moreover, as the Court already found, the instant agreement was adhesive in nature given the evidence presented by both sides.

The Court also agrees with Plaintiff that "the wholesale PAGA waiver . . . is unlawful." (Opp. at p. 8.) In ¶ 2 of the agreement, the agreement provides:

> Both SFG and I agree that neither of us shall initiate, prosecute or participate in any class-action lawsuit, arbitration or proceeding or any action or proceeding under the California Private Attorneys General Act of 2004 or any similar law providing for a right of action by an employee on behalf of the State or on behalf of other current or former employees in any way related to any claim covered by this Agreement. Both SFG and I agree to waive any right that either of us may have to initiate, prosecute or participate in a class action lawsuit, arbitration or proceeding or any action or proceeding under the California Private Attorneys General Act of 2004 or any similar law providing for a right of action by an employee on behalf of the State or on behalf of other current or former employees in any way related to any claim covered by this Agreement.

(Agreement, ¶ 2, bolding of "SFG" throughout omitted.) It is true that an arbitration agreement's waiver of an employee's *representative* PAGA claim remains unenforceable under *Iskanian v. CLS Transportation Los Angeles* (2014) 59 Cal.4th 348, 359-360 and *Viking River Cruises, Inc. v. Morian* (2022) 596 U.S. 639, 662. (*Mills v. Facility Solutions Group, Inc.* (2022) 84 Cal.App.5th 1035, 1062-1063.)

The Court does, however, reject Plaintiff's other arguments on substantive unconscionability.

First, Plaintiff contends that the "modification provision" of the agreement lacks mutuality. (Opp. at pp. 7-8.) That provision, found in ¶ 5 under "<u>Requirements for Modification or Revocation</u>," merely states that the agreement "can only be revoked or modified by a writing signed by me and by the President or Vice President of SFG." (Agreement, p. 3, ¶ 5, bolding omitted.) As this provision explicitly requires both parties to agree to any revocation or modification, Plaintiff's argument lacks merit.

Second, Plaintiff also contends that the agreement's inclusion of a wholesale waiver of class actions is substantive unconscionable. (Opp. at p. 8.) However, under the FAA, class action waivers are enforceable. (*AT&T Mobility LLC v. Concepcion* (2011) 563 U.S. 333, 352.) Plaintiff cites no authority to the contrary, and *Ramirez v. Charter Communications, Inc.* (2024) 16 Cal.5th 478 does not hold or suggest otherwise.

In sum, the Court finds that the parties' arbitration agreement is substantively unconscionable because of its overbroad scope, duration, lack of mutuality with respect to third-party claims, and inclusion of a waiver of Plaintiff's right to bring representative PAGA claims.

Severance

Accordingly, the remaining issue is whether the unconscionable provisions of the parties' arbitration agreement may be severed.

The agreement itself provides in ¶ 6 that "[i]f any portion of this Agreement is adjudged to be void or otherwise unenforceable, in whole or in part, such adjudication shall not affect the validity of the remained [*sic*] of the Agreement." (Agreement, ¶ 6; see also *Roman v. Super. Ct.* (2009) 172 Cal.App.4th 1462, 1477-1478, quoting *Armendariz*, *supra*, 24 Cal.4th at p. 122 ["the strong legislative and judicial preference is to sever the offending term and enforce the balance of the agreement: Although 'the statute appears to give a trial court some discretion as to whether to sever or restrict the unconscionable provision or whether to refuse to enforce the entire agreement[,] . . . it also appears to contemplate the latter course only when an agreement is "permeated" by unconscionability'"].)

There are "no bright line rules" requiring courts to refuse enforcement of the agreement or to sever or restrict an unconscionable term depending on the number of unconscionable terms. (*Ramirez v. Charter Communications, Inc.* (2024) 16 Cal.5th 478, 516.) Instead, in determining whether severance is appropriate or even possible, "[c]ourts are to look to the various purposes of the contract. If the central purpose of the contract is tainted with illegality, then the contract as a whole cannot be enforced. If the illegality is collateral to the main purpose of the contract, and the illegal provision can be extirpated from the contract by means of severance or restriction, then such severance and restriction are appropriate." (*Armendariz*, *supra*, 24 Cal.4th at p. 124.)

Here, Plaintiff contends that the agreement is so permeated with illegality that it cannot be saved by severance and should not be enforced. (Opp. at pp. 14-15.) The Court agrees based upon the agreement's substantively unconscionable scope, duration, and lack of mutuality with respect to third-party claims. The Court also finds that the illegality taints the central purpose of the contract—i.e., arbitration—such that the contract as a whole cannot be enforced.

		Notably, Defendant does not address this argument in its reply. At most, Defendant contends that "[w]hile Defendant acknowledges that the PAGA bar is unenforceable, it is the only substantive unfair provision, and therefore it can easily be severed from the Agreement." (Reply at p. 13.) While the Court agrees that the waiver of Plaintiff's right to bring representative PAGA claims could be severed, that does not address how the remaining unconscionable terms permeate the agreement's central purpose. Moreover, Defendant's failure to address the severability issue more broadly—including whether the agreement may be enforced as a whole when its arbitration provisions' scope, duration, and lack of mutuality are found unconscionable, and whether such provisions are part of the central purpose of the contract or collateral such that the agreement as a whole may be saved through severance—constitutes a concession on these points. (*DuPont Merck Pharmaceutical Co. v. Super. Ct.* (2000) 78 Cal.App.4th 562, 566 ["By failing to argue the contrary, plaintiffs concede this issue"].) In sum, the Court finds that the agreement contains both elements of procedural and substantive unconscionability, and since the unconscionability permeates the central purpose of the agreement, the Court exercises its discretion to refuse to enforce the agreement as a whole. Accordingly, Defendant's motion to compel arbitration is **DENIED**. Moving party shall give notice.
112	**Harmon vs. Wescom Central Credit Union** **2025-01528737**	**Motion to Compel Arbitration** Defendant Wescom Central Credit Union's Motion to Compel Arbitration is **DENIED**. Defendant's motion seeks "an order compelling the complaint of Plaintiff ERICK HARMON ('Plaintiff') to binding arbitration and staying all superior court proceedings in this matter until the completion of the arbitration." (ROA #18, p. 1.) Plaintiff does not dispute that the subject arbitration agreement is governed by the Federal Arbitration Act (FAA) and that he has refused arbitration. Instead, Plaintiff disputes the existence of the agreement and contends that the agreement is unenforceable because it is unconscionable and cannot be saved by severance. (ROA #29 [Opp.], passim.) **Procedural Issues** As an initial matter, the Court notes after filing and serving its initial moving papers including a supporting declaration by Pamela Escobar on 3/17/2026 (ROA #16, 18), Defendant thereafter on 7/13/2026 filed and served another supporting declaration by Jennifer A. Morin (ROA #27, Exh. AA [Morin Decl.]). The 7/13/2026 declaration was still timely filed and served pursuant to Code of Civil Procedure (CCP) section 1005, subdivision (b). Therefore, the Court may properly consider Morin's declaration. Defendant's initial moving papers relied exclusively on a 2023 arbitration agreement between the parties, as that was also the only agreement attached

		to Escobar's declaration. (See generally ROA #18 [Mot. P&A], passim; ROA #16, Exh. A [2023 Agreement].) Morin's supplemental declaration provided an earlier 2022 arbitration between the parties and attested to facts relating to Plaintiff's signing and Defendant's receipt of both the 2022 and 2023 agreements. (See generally Morin Decl., passim, Exh. 3 [2022 Agreement].) Plaintiff objects to the Court's consideration of Morin's declaration and the 2022 Agreement because "Defendant did not file or serve an amended or supplemental memorandum [of points and authorities] explaining any theory of formation or enforcement based on the 2022 Agreement" or "address the relationship between the 2022 Agreement and the 2023 Agreement, including whether the 2023 Agreement superseded the 2022 Agreement." (Opp. at p.4.) Plaintiff contends that because "'[f]airness dictates all arguments be presented in the memorandum of points and authorities' . . . the Court should therefore confine its analysis to the 2023 Agreement and decline to consider the purported 2022 Agreeement." (*Id.*, quoting *Nationwide Insurance Co. of America v. Tipton* (2023) 91 Cal.App.5th 1355, 1365.) The Court acknowledges that it "may decline to consider an argument that does not comply with rule 3.1113 of the California Rules of Court," which provides that a memorandum of points and authorities "'must contain a statement of facts, a concise statement of the law, evidence and arguments relied on, and a discussion of the statutes, cases, and textbooks cited in support of the position advanced.'" (*Nationwide*, *supra*, at p. 1365, quoting Rules of Court [CRC], rule 3.1113(b).) But that argument only goes so far. In Defendant's reply, Defendant notes that the 2022 and 2023 Agreements are "identical" and "<u>the exact same</u>." (ROA #35 [Reply], pp. 1-2, emphasis original.) The Court also finds that the two agreements are the same in substance. Therefore, it makes no difference whether the Court's ruling is based upon the language of the 2022 or 2023 Agreement. The only difference, it appears, is that the 2022 Agreement was electronically signed by Plaintiff, whereas the 2023 Agreement was "wet signed" by Plaintiff. Plaintiff's opposition advances only evidence and arguments directed at proving the existence (or lack thereof) of the 2023 Agreement. (Opp. at pp. 5-7.) Even if the Court agrees with Plaintiff that the Court will only consider whether the 2023 Agreement exists in ruling upon this motion, the Court may nevertheless consider the evidence contained in Morin's declaration to decide that issue, since the declaration was timely filed and served under CCP section 1005(b).

		Merits **Existence of Arbitration Agreement** Both the FAA and the CAA require the existence of a valid arbitration agreement before arbitration can be compelled. (See 9 U.S.C. § 2; Code Civ. Proc. [CCP], § 1281.2.) The petitioner bears the initial burden of producing prima facie evidence of a written agreement to arbitrate the controversy, which can be satisfied either by setting forth the agreement's provisions in the motion or by attaching to the motion a copy of the arbitration agreement purporting to bear the opposing party's signature; "[f]or this step, it is not necessary to follow normal procedures of document authentication." (*Gamboa v. Northeast Community Clinic* (2021) 72 Cal.App.5th 158, 165, internal quotes omitted; see also Cal. Rules of Court [CRC], rule 3.1330 [requiring same].) The burden then shifts to the opposing party to produce evidence to challenge the authenticity of the agreement. (*Gamboa*, *supra*, 72 Cal.App.5th at p. 165.) "If the opposing party meets its burden of producing evidence, then in the third step, the moving party must establish with admissible evidence a valid arbitration agreement between the parties." (*Id.* at pp. 166-167.) The petitioner must satisfy their burden "by a preponderance of the evidence, while a party opposing the petition bears the burden of proving by a preponderance of the evidence any fact necessary to its defense. The trial court sits as the trier of fact, weighing all the affidavits, declarations, and other documentary evidence, and any oral testimony the court may receive at its discretion, to reach a final determination." (*Ruiz v. Moss Bros. Auto Group, Inc.* (2014) 232 Cal.App.4th 836, 842, internal citations omitted.) Here, Defendants satisfied their initial burden by producing a copy of the subject 2023 Agreement via Escobar's declaration. Plaintiff acknowledges that this shifted the burden to him to disprove the existence of the agreement. (See Opp. at p. 6 [contending "Plaintiff has satisfied this burden"].) Plaintiff relies only on his declaration that he "do[es] not remember seeing or recall signing arbitration agreement in April 2023." (ROA #31 [Harmon Decl.], ¶ 9.) Notably, Plaintiff's declaration does not dispute that the wet signature appearing on the 2023 Agreement is his or contend that the signature was forged or inauthentic. "[A]n individual is capable of recognizing his or her own personal signature. If the individual does not deny that the handwritten personal signature is his or her won, that person's failure to remember signing is of little or no significance." (*Iyere v. Wise Auto Group* (2023) 87 Cal.App.5th 747, 757; see also *id.* at pp. 756 ["in the absence of any evidence that their purported signatures were not their own, there was no evidence that plaintiffs did not in fact sign the agreement"], 758 ["If a party confronted with his or her handwritten signature on an arbitration agreement is unable to allege that the signature is inauthentic or forged, the fact that that person does not recall signing the agreement neither creates a factual dispute as to the signature's authenticity nor affords an independent basis to find that a contract was not formed"].)

In any case, even if Plaintiff's assertion that he does not recall signing the 2023 Agreement was considered sufficient to meet his burden of producing evidence to return the burden to Defendant, the Court finds that Defendant has sufficiently satisfied that burden. Morin's declaration attaches copies of other documents wet-signed by Defendant, including his application for employment and his acceptance of Defendant's offer letter. (Morin Decl., Exhs. 1-2.) Plaintiff also does not dispute those signatures are his. The Court finds that the signatures are sufficiently similar that the signature on the 2023 Agreement appears to be Plaintiff's.

Therefore, the Court finds that an agreement to arbitrate the controversy exists in the form of the 2023 Agreement.

Unconscionability

Plaintiff next contends that even if the 2023 Agreement exists, it is procedurally and substantively unconscionable. (See Opp., 7-15.) This argument has merit.

Unconscionability has both a procedural and a substantive element: The procedural element focuses on the existence of "oppression or surprise due to unequal bargaining power," and the substantive element focuses on "overly harsh or one-sided results." (*Armendariz v. Foundation Health Psychcare Services, Inc.* (2000) 24 Cal.4th 83, 114, internal quotes omitted.) For unconscionability to render an agreement or clause unenforceable, both procedural and substantive unconscionability must be present—but "they need not be present in the same degree." (*Id.*) A "sliding scale" applies such that "the more substantively oppressive the contract term, the less evidence of procedural unconscionability is required to come to the conclusion that the term is unenforceable, and vice versa." (*Id.*)

The party opposing arbitration bears the burden of proving an unconscionability defense. (*Prima Donna Development Corp. v. Wells Fargo Bank, N.A.* (2019) 42 Cal.App.5th 22, 42.)

Procedural Unconscionability

"Procedural unconscionability concerns the manner in which the contract was negotiated and the circumstances of the parties at that time. It focuses on the factors of oppression and surprise. The oppression component arises from an inequality of bargaining power of the parties to the contract and an absence of real negotiation or a meaningful choice on the part of the weaker party." (*Kinney v. United HealthCare Services, Inc.* (1999) 70 Cal.App.4th 1322, 1329, internal quotes & citations omitted.) "'Surprise' involves the extent to which the supposedly agreed-upon terms of the bargain are hidden in a prolix printed form drafted by the party seeking to enforce the disputed terms." (*A & M Produce Co. v. FMC Corp.* (1982) 135 Cal.App.3d 473, 486.)

Oddly, Plaintiff contends that the 2023 Agreement is procedurally unconscionable mostly based upon the circumstances under which the *2022*

		Agreement was signed. (Opp. at p. 8.) This is irrelevant given that the relevant agreement on this motion is the 2023 Agreement, for all the reasons discussed above. As to the 2023 Agreement, there is little question it was a contract of adhesion, as signing the agreement appears to have been "require[d]" of all employees, and nothing in Defendant's evidence suggests that employees could negotiate its terms. (See Morin Decl., ¶ 9, Exh. 5.) However, "the adhesive nature of a contract is one factor the courts may consider in determining the degree of procedural unconscionability." (*Carmona v. Lincoln Millennium Car Wash, Inc.* (2014) 226 Cal.App.4th 74, 84, fn. 4.) Moreover, the "adhesive aspect of an agreement is not dispositive," as overall enforceability still depends on the "sliding scale" analysis of procedural and substantive unconscionability. (*Serpa v. Cal. Surety Investigations, Inc.* (2013) 215 Cal.App.4th 695, 704; see also *Graham v. Scissor-Tail, Inc.* (1981) 28 Cal.3d 807, 817 [contracts of adhesion are "an inevitable fact of life for all citizens"].) Therefore, Plaintiff has shown a minimal degree of procedural unconscionability due to the adhesive nature of the agreement. **Substantive Unconscionability** "Substantive unconscionability pertains to the fairness of an agreement's actual terms and to assessments of whether they are overly harsh or one-sided." (*Hayden v. Elegance at Dublin* (2023) 97 Cal.App.5th 1280, 1287, internal quotes omitted.) "[T]he central idea [is] that unconscionability doctrine is concerned not with a simple old-fashioned bad bargain, but with terms that are unreasonably favorable to the more powerful party." (*Sanchez v. Valencia Holding Co., LLC* (2015) 61 Cal.4th 899, 910-911, internal quotes & citations omitted [also confirming that "overly harsh," "unduly oppressive," "so one-sided as to shock the conscience," and "unfairly one sided" all point to this same "central idea"].) Unconscionable terms include those that "contravene the public interest or public policy" or "terms . . . that attempt to alter in an impermissible manner fundamental duties otherwise imposed by the law." (*Id.* at p. 911.) "[W]here no meaningful choice was exercised upon entering the contract, the test is whether the terms are so extreme as to appear unconscionable according to the mores and business practices of the time and place." (*Id.* at p. 912, internal quotes omitted.) Plaintiff contends that the subject arbitration agreement is substantively unconscionable because it is overbroad in scope. This argument has merit. The 2023 Agreement provides as follows: 1. ***Any and all claims, disputes or controversies*** between Wescom and Employee shall be resolved by binding arbitration pursuant to the provisions of this Agreement, except as otherwise prohibited by law.

2. To the fullest extent permitted by law, this Agreement applies to ***all claims, disputes or controversies, of any kind whatsoever***, between Employee and Wescom, whether raised by Employee, or by Wes com, including but not limited to those arising out of or related to Employee's hiring, employment, the terms and conditions of that employment (including but not limited to rest and meal breaks, classification of exempt and non-exempt employees, reimbursement of costs incurred in the course and scope of employment, wage statement violations, etc.), remuneration (including but not limited to wages, commissions, bonuses, paid sick leave, paid vacation, overtime pay, paid time off, etc.), and the termination of employment ("Claim" or "Claims"). Such Claims ***include any and all complaints,*** charges, causes of action (whether at law, in equity or otherwise), or demands arising under the law of contract (express or implied), ***the law of torts***, ***any applicable unfair competition or trade secrets law***, the federal and California Constitutions, federal, state and local statutes, ordinances, and regulations, such as but not limited to, the Age Discrimination in Employment Act, Title VII of the Civil Rights Act of 1964, the Americans With Disabilities Act, the California Fair Employment and Housing Act, the federal Family and Medical Leave Act, the California Family Rights Act, the Fair Labor Standards Act, the Equal Pay Act, the California Labor Code, and all laws of similar importance.

(2023 Agreement, ¶¶ 1-2, emphases added.)

In *Cook v. University of Southern California* (2024) 102 Cal.App.5th 312, 321-325, similar provisions were held to be unconscionably overbroad in scope. (See also *Stoker v. Blue Origin, LLC* (2026) 120 Cal.App.5th 91, 107-108 [same].)

While the *Cook* "recognize[d] that employment contracts can provide a 'margin of safety' that grants extra protection to the party with superior bargaining power if there is a legitimate commercial need for doing so," it also held that "the 'business realities' that give rise to that special need [must be] explained in the contract itself [or] must be factually established." (*Cook*, *supra*, at p. 324.) Here, the 2023 Agreement itself offers no legitimate commercial need for such broad coverage. Nor has Defendant offered any evidence on this point.

Defendant contends that the Court should instead interpret the 2023 Agreement to apply only to the parties' employment-related claims by following *Ayala-Ventura v. Superior Court* (2026) 119 Cal.App.5th 241 and *Cocom v. ABM Aviation, Inc.* (9th Cir. 2026) 179 F.4th 1168 in distinguishing *Cook*. This argument lacks merit.

		In *Ayala-Ventura*, the court distinguished *Cook* in that *Cook*'s unconscionability holding was "in part because of the multifarious ways in which a claim against USC 'completely unrelated to [Cook's] employment' could arise," including that "if Cook were to undergo a botched surgery at USC's hospital in 15 years, her claims would still be subject to arbitration." (*Ayala-Ventura*, *supra*, 119 Cal.App.5th at p. 257, brackets original, quoting *Cook*, *supra*, 102 Cal.App.5th at p. 318.) The *Ayala-Ventura* court then found that "[g]iven CCS solely provides commercial janitorial services, we are hard-pressed to discern how a similarly vast range of claims completely unrelated to Ayala-Ventura's employment could arise, nor does Ayala-Ventura offer a similar panoply of potential claims she might assert. The Agreement's scope is not unconscionably broad under the circumstances in this case." (*Id.* at p. 257.) Similarly, in *Cocom*, the court found that *Cocom* was more analogous to *Ayala-Ventura* and distinguishable from *Cook* because "ABM, like the employer in *Ayala-Ventura*, provides commercial janitorial services." (*Cocom*, *supra*, 179 F.4th at p. 1177.) Indeed, the *Cocom* court also found it significant that the *Cook* agreement's "enumeration of covered claims there included claims unrelated to employment—most notably, a general reference to tort claims. It was the prospect of precisely those sorts of claims—tort suits unrelated to employment—that loomed large in the *Cook* court's analysis: the examples it relied on to illustrate the agreement's unconscionable breadth were tort suits unrelated to employment." (*Id.* at p. 1175-1176, internal citations omitted.) The *Cocom* court also noted that "[t]he same was true in *Stoker*, which applied *Cook* to conclude that a similarly worded agreement unconscionably applied to claims unrelated to employment. The enumeration of covered claims in *Stoker*, as in *Cook*, included tort claims, and the court used torts unrelated to employment to illustrate the agreement's unconscionable breadth." (*Id.* at p. 1176, internal citation omitted.) Because "[n]othing in the MAA's enumeration of covered claims requires that the MAA covers tort claims—or any other claims—unrelated to employment," the *Cocom* court held that the broad arbitration agreement in that case could be interpreted to mean that it did covered only the parties' employment-related claims. Here, in contrast, the 2023 Agreement *does* include "tort" claims. (2023 Agreement, ¶ 2.) And as Plaintiff points out, "Defendant is a financial institution that operates branches and interacts directly with members and the public. Those operations create realistic possibilities for future contract, tort, statutory, financial, or premises-liability disputes having nothing to do with Plaintiff's former employment." (Opp. at p. 12; see also Compl., ¶ 20 [alleging Plaintiff "performed various duties for Defendants including, among other things, collecting payments on mortgages, second mortgages, vehicle loans, credit cards, and lines of credit"].) Therefore, *Cook* is directly applicable, while *Ayala-Ventura* and *Cocom* are distinguishable, and the agreement here is overbroad in scope. To further illustrate the overbreadth of the scope of the 2023 Agreement, the agreement covers all claims "between Employee and Wescom," and "Employee" is defined to include "Employee and his or her spouse [and] registered domestic partner." (2023 Agreement, ¶¶ 1-2, 14.)

Defendant also contends that *Cook* is distinguishable because it found substantive unconscionability "based on a myriad of factors, including that the provisions lasted indefinitely and for the remainder of the employees' lives, . . . among other issues." (Reply at pp. 5-6, emphasis omitted.) In so arguing, Defendant also emphasized that the *Cook* holding was in part based on the agreement's scope including "*tort*" claims. (*Id.* at p. 6, quoting *Cook*, emphasis original to Reply.)

In any case, the Court also finds that the agreement's duration is overbroad because it is infinite. The agreement does not specify a duration or termination date. In both *Ayala-Ventura* and *Cook*, the courts found that the agreements were not infinite in duration because those agreements applied only to employment-related claims, not tort claims, so the employment context provides an inherent limitation on the agreement's duration. (*Ayala-Ventura*, *supra*, 119 Cal.App.5th at pp. 257-258; *Cocom*, *supra*, 179 F.4th at p. 1177-1178.) Here, given that the 2023 Agreement explicitly includes tort claims and is there not susceptible to an interpretation that reads out the reference to tort claims, the Court finds that the agreement is therefore of infinite duration as there is no inherent limitation provided by any employment context.

The Court does, however, reject Plaintiff's other two arguments on unconscionability.

First, Plaintiff contends that the 2023 Agreement contains an impermissible waiver of representative PAGA claims. (Opp. at pp. 9-10.) In support, Plaintiff relies on ¶ 3 of the agreement, which states as follows:

> Except as otherwise required under applicable law, (a) Employee and Wescom expressly intend and agree that class action procedures shall not be asserted, nor will they apply, in any arbitration pursuant to this Agreement; (b) Employee and Wescom agree that each will not assert class action claims against the other in arbitration or otherwise; and (c) each of Employee and Wescom shall only submit their own, individual claims in arbitration and will not seek to represent the interests of others.

(2023 Agreement, ¶ 3.) Plaintiff contends that the final clause in subdivision (c), that the parties "will not seek to represent the interests of others," constitutes a waiver of Plaintiff's representative PAGA claims.

The Court disagrees with this interpretation of ¶ 3. First, the entire paragraph is subject to the opening phrase "[e]xcept as otherwise required under applicable law." Thus, if the law requires that arbitration agreements not waive representative PAGA representative claims, then such claims are not waived by this paragraph. Second, subdivision (c) appears after subdivisions (a) and (b), which only discuss "class action claims," not "any and all representative claims." Therefore, subdivision (c)'s reference to "not seek[ing] to represent the interests of others" refers to class action claims, not representative PAGA claims. (See Civ. Code, § 1641 ["The whole of a contract is to be taken together, so as to given effect to every part, if reasonably practicable, each clause helping to interpret the other"]; *People ex. rel. Lockyer v. R.J. Reynolds Tobacco Co.* (2003) 107 Cal.App.4th 516, 526, internal quotes omitted ["The language in a contract must be construed in the context of that instrument as a whole"].)

Second, Plaintiff contends that the 2023 Agreement must be read together with a separate confidentiality policy found in Defendant's Employee Handbook. (Opp. at pp. 12-14.) Plaintiff contends that "the Handbook and [Arbitration] Agreements were . . . imposed as parts of the same employment relationship" and "address the same subject: how disputes arising from alleged misuse of Wescom's confidential information and trade secrets will be resolved." (*Id.* at p. 13.) Therefore, Civil Code section 1642 applies, which requires courts to construe together "[s]everal contracts relating to the same matters, between the same parties, and made as parts of substantially one transaction." (*Id.* at pp. 12-13.)

Plaintiff has submitted a copy of Defendant's Confidentiality Policy, which appears to have been a part of the Employee Handbook. (ROA #33 [Wilson Decl.], Exh. C at pp. WESCOM-HARMONPL 000289-000290.) That policy states, in relevant part:

> During the course of your employment with Wescom you may have access to, acquire, or become acquainted with trade secrets, proprietary data or other confidential information relating to Wescom or other companies with which Wescom is doing business that is not general knowledge.
>
> All confidential information or proprietary data obtained in the course of your employment, except for your own personnel and payroll records, may not be used or disclosed by you to anyone not employed by Wescom, or to another employee who has no need for or right to know such data or information without permission from an authorized member of Executive Team or President's Staff.
>
> . . .
>
> Wescom reserves the right to avail itself of all legal or equitable remedies to prevent impermissible use of confidential information or to recover damages incurred as a result of such impermissible use of confidential information . . . .

(*Id.*)

Plaintiff contends that the last quoted sentence, i.e., Defendant's reservation of rights, "does not state that those remedies must be pursued exclusively in arbitration or that its reservation is subject to the Arbitration Agreements," this Confidentiality Policy has therefore "separately reserved to Defendant 'all legal or equitable remedies' for the confidentiality and trade-secret claims Defendant is most likely to bring." (*Id.* at p. 12.)

Even if Civil Code section 1642 applies and this Confidentiality Policy is construed together with the Arbitration Agreement, the Court finds that

		Defendant's reservation of rights to seek "all legal and equitable remedies" must be interpreted to be subject to the parties' arbitration agreement, which covers "any and all complaints**,** charges, causes of action (whether at law, in equity or otherwise), or demands arising under . . . any applicable unfair competition or trade secrets law." (2023 Agreement, ¶ 2.) This interpretation not only construes these two provisions together under Civil Code section 1642, but it also comports with both Civil Code section 164, which requires that "[t]he whole of the contract is to be taken together, so as to given effect to every part, if reasonably practicable, each clause helping to interpret the other," and Civil Code section 1643, which requires that "[a] contract must receive such an interpretation as will make it lawful, operative, definite, reasonable, and capable of being carried into effect, if it can be done without violating the intention of the parties." In sum, the Court finds that the 2023 Agreement is substantively unconscionable because of its overbroad scope and duration. Because Plaintiff has shown both procedural and substantive unconscionability, the Court finds that the 2023 Agreement is unconscionable. **Severance** Accordingly, the remaining issue is whether the unconscionable provisions of the 2023 Agreement may be severed. The agreement itself provides in ¶ 15 that "[i]f any provision of this Agreement is held to be invalid or unenforceable, in whole or in part, the remaining provisions of this Agreement shall continue to be valid and are required to be complied with, to the fullest extent permitted by law, in order to permit the maximum enforceability of this Agreement." (See also *Roman v. Super. Ct.* (2009) 172 Cal.App.4th 1462, 1477-1478, quoting *Armendariz*, *supra*, 24 Cal.4th at p. 122 ["the strong legislative and judicial preference is to sever the offending term and enforce the balance of the agreement: Although 'the statute appears to give a trial court some discretion as to whether to sever or restrict the unconscionable provision or whether to refuse to enforce the entire agreement[,] . . . it also appears to contemplate the latter course only when an agreement is "permeated" by unconscionability'"].) There are "no bright line rules" requiring courts to refuse enforcement of the agreement or to sever or restrict an unconscionable term depending on the number of unconscionable terms. (*Ramirez v. Charter Communications, Inc.* (2024) 16 Cal.5th 478, 516.) Instead, in determining whether severance is appropriate or even possible, "[c]ourts are to look to the various purposes of the contract. If the central purpose of the contract is tainted with illegality, then the contract as a whole cannot be enforced. If the illegality is collateral to the main purpose of the contract, and the illegal provision can be extirpated from the contract by means of severance or restriction, then such severance and restriction are appropriate." (*Armendariz*, *supra*, 24 Cal.4th at p. 124.)

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Here, Plaintiff contends that the agreement is so permeated with illegality that it cannot be saved by severance and should not be enforced. (Opp. at pp. 14-15.) The Court agrees. The Court also finds that the illegality taints the central purpose of the contract—i.e., arbitration—such that the contract as a whole cannot be enforced.
Notably, Defendant does not address this argument in its reply. At most, Defendant contends that to the extent the Court finds that ¶ 3 contains of the 2023 Agreement contains a waiver of representative PAGA claims, “that single clause can easily be severed from the rest of the enforceable contract in order to effectuate the parties’ intentions to handle disputes through arbitration.” (Reply at p. 7.) Defendant’s failure to address the severability issue more broadly—including whether the agreement may be enforced as a whole when its arbitration provisions’ scope and duration are found unconscionable, and whether such provisions are part of the central purpose of the contract or collateral such that the agreement as a whole may be saved through severance—constitutes a concession on these points. (DuPont Merck Pharmaceutical Co. v. Super. Ct. (2000) 78 Cal.App.4th 562, 566 [“By failing to argue the contrary, plaintiffs concede this issue”].)
In sum, the Court finds that the agreement contains both elements of procedural and substantive unconscionability, and since the unconscionability permeates the central purpose of the agreement, the Court exercises its discretion to refuse to enforce the agreement as a whole.
Accordingly, Defendant’s motion to compel arbitration is DENIED.
Moving party shall give notice.
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<tr><td>113</td><td> Quinn vs. Valley Post-Acute And Rehab LLC 2025-01518740 </td><td>
Motion to Compel Deposition (Oral or Written)
Plaintiff Harvey Quinn’s unopposed motion to compel the deposition of the Person Most Knowledgeable of defendant VPR Ops, LLC is GRANTED. The deposition is to take place at a mutually agreeable location within 45 days notice of this order, unless the parties agree otherwise.
The court finds no substantial justification or other circumstances which make the imposition of the monetary sanctions unjust. The court therefore awards plaintiff reasonable expenses in the amount of $1,210.00, payable by defendant VPR Ops, LLC within 20 days notice of this order, unless the parties agree otherwise. C.C.P. §§ 2023.010, 2023.030.
Plaintiff is ordered to give notice.
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114	**Sermeno vs. International Paper Company** **2025-01514573**	**Motion to Dismiss** Defendant International Paper Company has filed a Motion to Dismiss or Stay Proceedings pursuant to Code of Civil Procedure (CCP) section 410.30, the doctrine of exclusive concurrent jurisdiction, and this Court's inherent authority to prevent duplicative litigation. (ROA #35.) Defendant's Requests for Judicial Notice at ROA #33 is **GRANTED**. (Evid. Code, § 452, subd. (d).) In Defendant's Notice of Motion and Motion, Defendant explicitly stated that it "moves this Court for an order to dismiss the present Action *with prejudice* or, in the alternative, stay the present Action in its entirety pending the resolution of a previously filed and actively litigated putative class and representative PAGA action, *Magana v. International Paper Company*, Case No. 2:24-cv-08867-CBM-MAR (C.D. Cal.), and/or a previously filed and actively litigated putative class action, *Sermeno v. International Paper Company*, Case No. 8:25-cv-01892-AH-(MARx) (C.D. Cal.)." (ROA #35, pp. 1-2, emphasis added.) In its reply, Defendant disavows that it "never requested" "'dismissal with prejudice,'" acknowledging that instead it seeks dismissal only under CCP section 430.10 for forum non conveniens, which results in a dismissal without prejudice. (ROA #41 [Reply], p. 5.) On 7/29/2026—i.e., 3 court days and 5 calendar days after the applicable deadline—Plaintiff Joshua Sermeno late-filed a partial opposition to the motion. (ROA #39.) The Court exercises its discretion to consider the late-filed opposition, but **ADMONISHES** Plaintiff both for his failure to respond to Defendant's meet-and-confer efforts in advance of filing the motion and for his late-filing of the opposition. Plaintiff does not oppose a stay of this action pending resolution of the *Magana* action but opposes the request for dismissal with prejudice. (*Id.*, passim.) The Court **GRANTS IN PART** the motion as to the requested order to stay the instant action pending resolution of the first-filed case of *Magana v. International Paper Company*, Case No. 2:24-cv- 08867-CBM-MAR (C.D. Cal.) ("*Magana* action"), but **DENIES** the motion to the extent it seeks an order to dismiss the instant action with or without prejudice because Defendant has not cited any authority nor advanced any argument requiring or favoring dismissal over a stay under the circumstances. The Court notes that Plaintiff cites *Archibald v. Cinerama Hotels* (1976) 15 Cal.3d 853, 857-860 for the proposition that "[f]or a California resident, the ordinary forum-non-conveniens remedy is a stay, not dismissal of the action." (ROA #39 [Opp.], p. 1.) Indeed, the *Archibald* court held that "except in extraordinary cases a trial court has no discretion to dismiss an action brought by a California resident on grounds of forum non conveniens"; that "[a] determination that a plaintiff is domiciled here would

		ordinarily preclude granting the defendant's motion for dismissal on the ground of forum non conveniens"; that "in the ordinary case, the doctrine of forum non conveniens does not permit the dismissal of an action itself, as distinguished from a stay of that action, brought by a California resident"; that "this limitation . . . reflects an overriding state policy of assuring California residents an adequate forum for the redress of grievances"; that "the exceptional case which justifies the dismissal of a suit under the doctrine of Forum non conveniens is one in which California cannot provide an adequate forum or has no interest in doing so"; and that "[e]xamples would include cases in which no party is a California resident or in which the nominal California resident sues on behalf of foreign beneficiaries or creditors." (*Id.* at pp. 858-859, internal quotes & citations omitted.) Defendant contends that *Archibald* is no longer good law, citing *Stangvik v. Shiley Inc.* (1991) 54 Cal.3d 744, 755-756. (Reply at pp. 5-6.) However, the cited portion of *Stangvik* relies on a 1986 amendment to CCP section 410.30 that added the following sentence to the statute *but was only effective until January 1, 1992*: "domicile or residence in this state of any party to the action shall not preclude the court from staying or dismissing the action." (*Stangvik*, *supra*, at pp. 755-756.) The *Stangvik* court did find that the purpose of this amendment "was to overcome the holding of *Archibald* . . . and other cases . . . that a trial court was *powerless* to dismiss an action on the ground of forum non conveniens if the *plaintiff* was a California resident." (*Id.* at p. 756, internal citation omitted, emphases original.) But the *Archibald* court did not hold that courts may not ever dismiss an action on the ground of forum non conveniens if the plaintiff is a California resident; it simply held that extraordinary circumstances must exist for a court to do so. (*Archibald*, *supra*, 15 Cal.3d at pp. 858-859.) Moreover, the Legislature has since amended section 410.30 again in 1972, and the sentence quoted in *Stangvik* no longer exists effective January 1, 1992. Defendant does not address this point. Additionally, *Archibald* has since been favorably cited by the Court of Appeal as continuing to stand for the proposition that trial courts should not, absent extraordinary circumstances, dismiss an action on forum non conveniens grounds when the plaintiff is a California resident. (See, e.g., *Van Keulen v. Cathay Pacific Airways, Ltd.* (2008) 162 Cal.App.4th 122, 129-130.) Defendant has not show any extraordinary or exceptional circumstances here. Therefore, the Court finds that a stay is more appropriate than dismissal given that it allows the Court to protect the interests of the litigants and to assure that Plaintiff has an adequate forum to redress his grievance, pending resolution of the *Magana* action. Accordingly, the Court **ORDERS** that the instant action is stayed pending the final resolution of the *Magana* action. (See CCP, § 1049 ["An action is deemed to be pending from the time of its commencement until its final determination upon appeal, or until the time for appeal has passed, unless the judgment is sooner satisfied.].) The Court sets a CMC for April 1, 2027 at 9:30AM to discuss the status of Magana and the parties positions on whether the stay should continue, be

		modified, or be lifted. The parties shall file a CMC statement addressing these matters 10 days prior to the hearing. Defendant shall give notice.
115	**Gonzalez vs. Red Digital Cinema, LLC** **2021-01236367**	**Motion for Final Approval of Class/PAGA Settlement** Plaintiff Briseida Gonzalez's Motion for Final Approval of Class Action and PAGA Settlement, Attorneys' Fees, Litigation Expenses, and Class Representative Enhancement Payment is **CONTINUED to October 15, 2026 at 2:00 p.m. in Department CX102** in order to give Class Counsel an opportunity to address the issues identified below. [This is a putative wage-and-hour class action and PAGA matter. On 12/14/2021, Plaintiff Briseida Gonzalez, individually and on behalf of other members of the general public similarly situated, filed a class action complaint against Defendant Red Digital Cinema, LLC. (ROA #2.) The operative complaint is the first amended complaint (FAC), filed on 4/4/2025 per the parties' stipulation. (ROA #97.) The FAC alleges various Labor Code wage-and-hour violations and unfair business practices, including a claim for PAGA penalties. (*Id.*) Defendant answered the FAC on 4/14/2025. On 4/30/2025, Plaintiff filed the Motion for Preliminary Approval of the Class Action and PAGA Settlement. On 2/26/2026, at the second hearing on the matter, the Court conditionally granted the motion. (ROA #132.) On 3/6/2026, the Court entered the order granting preliminary approval. (ROA #141.) Plaintiff has submitted both a Joint Stipulation of Class Action and PAGA Settlement and an Amendment No. 1 to Joint stipulation of Class Action and PAGA Settlement (collectively, "Settlement Agreement"), along with a Class Notice (including amendments) for the Court's review. The motion seeks preliminary approval of the parties' proposed settlement of Plaintiff's class and PAGA claims for the non-reversionary gross settlement amount (GSA) of $755,000. The GSA includes $50,000 allocated for PAGA penalties. On 7/15/2026, Plaintiff filed the instant Motion for Final Approval of Class Action and PAGA Settlement. The motion seeks approval of the Joint Stipulation of Class Action and PAGA Settlement and Amendment No. 1 to Joint stipulation of Class Action and PAGA Settlement (collectively,

"Settlement Agreement"), which provides for the settlement of Plaintiff's class and PAGA claims for the non-reversionary gross settlement amount ("GSA") of $834,449.61 after the escalator clause was triggered. The GSA includes $50,000.00 allocated for PAGA penalties.

The Court concludes that an attorneys' fee award totaling $250,334.88 or 30% of the GSA, constituting a 1.11 multiplier against the lodestar amount, is fair, adequate, and reasonable for a class and settlement of this size, including considering the action's contingent nature and the results achieved.

The Court also concludes that litigation costs should not include overhead or nonrecoverable items such as postage. Therefore, the Court deducts from the requested amount $17.20 for postage incurred on 7/16/2021 and 2/8/2023 and awards $12,667.05 in requested costs.

The Court further concludes that a Class Representative Enhancement Payment of $5,000 is fair, adequate, and reasonable for a class and settlement of this size, considering that there was nothing extraordinary about Plaintiff's contribution to the case.

Additionally, the Court has identified the following issues with the moving papers, which must be addressed by Class Counsel before final approval can be granted:

1. The Court notes that Plaintiff's motion for preliminary approval estimated that there would be 969 class members and 277 aggrieved employees. (See ROA #106, p. 10; ROA #127, p. 3.) However, according to the administrator's declaration submitted in support of the instant motion for final approval, there are only 589 class members and 165 aggrieved employees. (ROA #154, ¶ 6.) These numbers reflect a significant decrease from the previous estimates, but Plaintiff's moving papers have not provided an explanation as to why.
2. The administrator reports that the deadline for class members to respond to the class notice was 7/22/2026. However, Plaintiff submitted a declaration from the administrator reporting on class notice results that was dated 7/14/2026. Therefore, final class notice results have not been submitted to the Court.
3. Class Counsel must attest as to whether there is a fee-splitting agreement with any other counsel, or confirm there is none.

Class Counsel must also provide a revised and combined [Proposed] Order of Final Approval and Judgment with the following revisions:

1. The specific awards and disbursements should be revised to reflect the amounts set forth in this order.
2. The proposed order and judgment should specify the number of class members and aggrieved employees.
3. The proposed order and judgment must state that one (1) class members objected and how the objection was resolved.

4. The proposed order and judgment should also state that no class members submitted workweek disputes.
5. If any class members opt out, object, or submit workweek disputes between 7/14/2026 when the administrator signed the submitted declaration at ROA #154 and 7/22/2026 when the deadline for class members to respond expires, the proposed order must be amended to reflect any new submissions.
6. The proposed order and judgment should state that the settlement administrator will post a copy of the order and judgment on the website for 180 days.
7. Counsel should not leave blank but should instead propose a realistic Final Accounting hearing date, taking into account the deadlines associated with funding the settlement, mailing distributions, allowing the check-cashing deadline to pass, and depositing uncashed check funds pursuant to the terms of the Settlement Agreement. The Court usually sets these hearings 9-10 months after final approval if the check-cashing deadline is 180 days. The parties must report to the Court the total amount that was actually paid to class members and all others in accordance with the Settlement Agreement. All supporting papers must also be filed at least sixteen (16) court days before the Final Accounting hearing date.
8. The proposed order and judgment should state that the settlement administrator's final report should be filed at least 16 court days before the Final Accounting hearing.

The Court further refers Class Counsel to the "Guidelines for Approval of Class Action Settlements & PAGA Settlements" posted on the Court's website for Department CX102, available at https://voypubapps.occourts.org/complex-civil-calendar.

Class Counsel must file supplemental papers addressing the Court's concerns no later than sixteen (16) court days prior to the continued hearing date. Counsel must also provide redlined versions of all revised papers and an explanation of how the pending issues were resolved with precise citation to any revisions. A supplemental declaration or brief that simply asserts the issues have been resolved is insufficient and will result in a further continuance. If supplemental papers addressing all of the Court's concerns cannot be filed by the pre-hearing deadline, Class Counsel must request a continuance. Failure to do so may result in the issuance of an Order to Show Cause re Monetary Sanctions.

Plaintiff is ordered to give notice of this ruling, including to the LWDA, within five (5) court days, and file proof of service.

116	**Lee vs. Vista Point Mortgage, LLC** **2024-01447174**	**Motion for Approval of Class Settlement** Plaintiffs Richie Lee and Michael Wong's Motion for Preliminary Approval of Class Action Settlement is **CONTINUED December 3rd 2026 at 2:00 p.m. in Department CX102** in order to give Class Counsel an opportunity to address the issues identified below. This is a data breach class action arising out of a data incident suffered by Defendant Vista Point Mortgage, LLC between 5/21/2024 and 6/5/2024, in which hackers allegedly accessed Defendant's network systems through two employees' email accounts and removed personally identifiable information ("PII") of Plaintiffs and Settlement Class Members On 12/13/2024, Plaintiff Richie Lee, individually and on behalf of all others similarly situated, filed a class action complaint against Defendant Vista Point Mortgage, LLC. (ROA #2.) On 1/23/2025, the operative first amended complaint (FAC) was filed, adding a second named Plaintiff, Michael Wong, and alleging the following 7 causes of action: 1. Negligence, 2. Negligence Per Se, 3. Breach Of Implied Contract, 4. Unjust Enrichment, 5. Violation Of California's Consumer Privacy Act, 6. Violation Of California's Unfair Competition Law, and 7. Violation Of The California Customer Records Act. (ROA #14.) On 4/27/2026, Plaintiffs filed the instant Motion for Preliminary Approval of the Class Action Settlement, and submitted the parties' Settlement Agreement ("Settlement Agreement" or "Settlement") and Class Notice for the Court's review. The motion seeks preliminary approval of the parties' proposed settlement of Plaintiffs' class claims for the non-reversionary amount of $50,000, which shall be deposited to a Pro Rata Settlement Fund ("PRSF"), which shall be used only to pay for pro rata cash payments to Settlement Class Members and any taxes owed by the PRSF. All Settlement Class Members who submit a valid claim form will receive a pro rata share of the PRSF. In addition to the $50,000 for the PRSF, Defendant has agreed to additionally pay (1) for two years of Financial Shield Complete with 1-Bureau Monitoring through CyEx Credit Monitoring for every Settlement Class Member without the need to submit a claim; (2) Attorneys' Fees, Costs, and Expenses Award to Class Counsel, up to a maximum of $200,000; (3) reasonable Notice and Claims Administration Costs incurred, which shall be deducted from Class Counsel's Attorneys' Fees, Costs, and Expenses Award; and (4) Service Awards up to $1,000 per named Plaintiff, for a total of $2,000. The Court has identified several issues with the Settlement Agreement and moving papers. Accordingly, the following issues must be addressed by Class Counsel before preliminary approval can be granted:

		1. Paragraph 60 of the Settlement Agreement provides that Class Counsel will file applications with the Court for the requested Service Award and Attorneys' Fees, Costs, and Expenses Award in connection with their Motion for Final Approval no later than 21 Days prior to the Final Approval Hearing. The application or motion for these awards shall be heard concurrently with the Motion for Final Approval, and the application or motion must be filed per Code. 2. Paragraph 23 of the Settlement Agreement provides that all Settlement Class members who submit a valid claim form will receive a pro rata share of the PRSF. Pro rata share is defined in ¶ 33.a. However, ¶ 23 refers to ¶ 34, instead of ¶ 33.a., for the method of allocation by proration. 3. Paragraph 34 provides for a 90-day deadline for Claimants to negotiate their Claim Payment check or the check will be voided. The Court typically prefers a 180-day check-cashing period. The parties must justify shorter periods. 4. Moreover, ¶ 36 provides that for any Claim Check returned to the Settlement Administrator as undeliverable (including, but not limited to, when the intended recipient is no longer located at the address), the Settlement Administrator shall make reasonable efforts to find a valid address and resend the Claim Check within 30 Days after the check is returned to the Settlement Administrator as undeliverable; and the Settlement Administrator shall only make one attempt to resend a Claim Check. Even under a 90-day deadline to negotiate Claim Payment checks, ¶ 34, when read in conjunction with ¶ 36, means a Claimant may have less than 60 days to negotiate their Claim Check, given how much time the administrator has to resend the Claim Check. So that all Claimants have the same number days from the date of payment *issue* to negotiate their Claim Check, when a Claim Check is returned as undeliverable, the administrator should not just re-send the Claim Check but should re-*issue* the Claim Check so that there is a new *issue* date from which the negotiation deadline may be calculated. 5. Paragraph 35 provides that the distribution of any remaining PRSF from unnegotiated Claim Payment checks shall continue pro rata until the average payment amount in a distribution is less [than] $3.00, whereupon the amount remaining in the PRSF, if any, shall be distributed by mutual agreement of the Parties and the Court. The parties should agree now as to how to distribute such remaining funds (e.g., identify an appropriate cy pres recipient pursuant to Code of Civil Procedure section 384). 6. Paragraph 24 provides that enrollment codes for creditor monitoring services will be included with the Short-Form Class Notice. However, ¶ 38 states that "[i]nstructions for how to enroll in the Financial Shield product will be sent within 30 days of the Effective Date." This delay is fine so as to ensure that activation instructions are sent only to Settlement Class Members who do not opt out after receiving class notice. However, the enrollment code should be included again when the activation instructions are sent so that Class

		Members do not have to hold onto the initial Short-Form Class Notice to be able to remember and use the code. 7. Paragraphs 58-59 specify when the administrator will make payments of attorneys' fees and costs. The Settlement Agreement should also specify the deadline by which the Claims Administration Costs will be paid to the administrator out of the Attorneys' Fees, Costs and Expense Award in accordance with ¶ 16.c. 8. The Settlement Agreement provides that "[u]pon entry of the Final Approval Order, the Litigation shall be dismissed with prejudice" (Settlement, ¶ 69); that "[t]he Final Approval Order and Final Judgment shall provide that the Litigation is dismissed with prejudice as to the Plaintiffs and all Settlement Class Members" (*id.* at ¶ 77); and that "upon entry of the Final Approval Order, . . . the Settlement Class Release and all of Plaintiff's Released Claims and the Released Class Claims shall be dismissed with prejudice" (*id.* at ¶ 81). The action may not be "dismissed" in light of the requirements of California Rule of Court, rule 3.769(h), which requires that all final approvals result in entry of judgment. 9. Paragraph 83 of the Settlement Agreement provides that "[o]n entry of the Final Approval Order and Final Judgment, the Plaintiffs and Settlement Class Members shall be *enjoined* from prosecuting, respectively, the Plaintiffs' Released Claims and the Released Class Claims, in any proceeding in any forum against any of the Released Persons or based on any actions taken by any Released Persons authorized or required by this Settlement Agreement or the Court or an appellate court as part of this Settlement." (Emphasis added.) The Court will not issue an injunction. The parties may, however, rely on the effects of res judicata/collateral estoppel of the judgment to be issued upon final approval of the settlement. 10. Although Class Counsel attests that a bidding process occurred before selecting Simpluris (Counsel Decl., ¶ 25), no bid/estimate for administration costs has been provided. 11. "Claims Deadline" is 90 days from the Notice Date." (Settlement, ¶ 9.c.) Notice Date is defined as "within 60 Days following entry of the Preliminary Approval Order and is the last day by which the Settlement Administrator shall provide Email Notice or Postcard Notice to all Settlement Class Members." (*Id.* at ¶ 9.w.) The deadline for submitting Claims should not be calculated based on the last day by which the administrator *may* provide notice but should instead be calculated from the date on which the administrator *actually* provides notice. 12. The Settlement Agreement should also provide that, for any re-sent notices, whether by email or by mail, the Claims Deadline shall be calculated from the date of the re-sent notice. 13. The "Objection Deadline" is "no later than 60 days after the Notice Date." (Settlement, ¶¶ 26, 52.) The deadline for objections should be the same as for Claims—i.e., 90 days. 14. Again, "Notice Date" is defined as "within 60 Days following entry of the Preliminary Approval Order and is the last day by which the Settlement Administrator shall provide Email Notice or Postcard Notice to all Settlement Class Members." (Settlement, ¶ 9.w.) Again, the deadline to object should also not be calculated based on

		the last day by which the administrator *may* provide notice but should instead be calculated from the date on which the administrator *actually* provides notice. 15. The Settlement Agreement should also provide that, for any re-sent notices, whether by email or by mail, the Objection Deadline shall be calculated from the date of the re-sent notice. 16. Paragraph 50 of the Settlement Agreement states that objections must be "postmarked or submitted *electronically*," but does not specify what "electronically" means. (Emphasis added.) Is this only via the administrator's website or also by email? Notably, ¶¶ 46 and 48 permit Claims to be submitted online via the administrator's website, while ¶ 56 mentions that opt outs may be submitted by email but not via the administrator's website. Ultimately, the acceptable methods for submitting Claims, Objections, and Opt Outs should be the same. 17. Paragraph 51 of the Settlement Agreement sets forth numerous requirements for a written objection. Requirements (iii) and (ix) are too onerous. As to requirement (iii), Settlement Class Members should not be required to provide independent proof that their PII was compromised. Indeed, the Long-Form Class Notice even states, "You do not have to provide any proof or explanation to claim this payment." Defendant has knowledge of who is a member of the Settlement Class based on its records relating to the Data Incident. So once an objection is submitted, the administrator should verify the objector's name with Defendant to ensure the objector is Settlement Class Member. As to requirement (ix), the requested case information should not be required . 18. Paragraph 54 requires that "[i]f an objecting Settlement Class Member intends to appear at the Final Approval Hearing, either with or without counsel, he or she must also file a notice of appearance with the Court (as well as serve the notice on Class Counsel and Defendant's Counsel) by the Objection Deadline." Paragraph 54.a requires that "[i]f the objecting Settlement Class Member intends to appear at the Final Approval Hearing through counsel, he or she must also identify the attorney(s) representing the objecting Settlement Class Member who will appear at the Final Approval Hearing and include the attorney(s) name, address, phone number, e-mail address, state bar(s) to which counsel is admitted, as well as associated state bar numbers." These pre-hearing requirements are also too onerous. An objecting Settlement Class Member, whether in pro per or represented by counsel, may simply appear at the hearing on the day of the hearing, and the Court will still hear from that objector or counsel. Counsel may identify themselves at the hearing. 19. At ¶ 67, the Settlement Agreement also provides that "[a]ny Settlement Class Member who wishes to appear at the Final Approval Hearing, whether pro se or through counsel, must, by the Objection Deadline, either mail or hand-deliver to the Court or file a notice of appearance in the Litigation, take all other actions or make any additional submissions as may be required in the Long-Form Notice, this Settlement Agreement, or as otherwise ordered by the Court, and mail that notice and any other such pleadings to Class

		Counsel and Defendant's Counsel as provided in the Long-Form Notice." This requirement should also be deleted. 20. The Settlement Agreement further provides that "[t]he Parties may file a response to any objections and a Motion for Final Approval no later than 21 Days prior to the Final Approval Hearing." (Id. at ¶ 66.) All written objections submitted to the administrator shall be submitted to the Court as part of the Motion for Final Approval, which must be filed per Code. The parties may respond to or address the objections as part of the moving papers. 21. The deadline to opt out is "no later than 60 Days after the Notice Date." (Settlement, ¶ 56.) The deadline for opting out should be the same as for Claims—i.e., 90 days. 22. Again, "Notice Date" is defined as "within 60 Days following entry of the Preliminary Approval Order and is the last day by which the Settlement Administrator shall provide Email Notice or Postcard Notice to all Settlement Class Members." (Settlement, ¶ 9.w.) Again, the deadline to opt out should also not be calculated based on the last day by which the administrator may provide notice but should instead be calculated from the date on which the administrator actually provides notice. 23. The Settlement Agreement is inconsistent as to the method permitted for opting out. In ¶ 56, the agreement initially states that "[e]ach individual wishing to opt-out of the Settlement Class shall individually sign and timely submit written notice of such intent *to the designated Post Office box or email address* established by the Claims Administrator," but then ends with "[t]o be effective, written notice [of opt out] must be *postmarked* no later than 60 Days after the Notice Date." (Emphases added.) Also, as noted above, ¶¶ 46 and 48 permit Claims to be submitted online via the administrator's website but provides no email option, and it is unclear how Objections may be submitted "electronically" under ¶ 56. Again, ultimately, the acceptable methods for submitting Claims, Objections, and Opt Outs should be the same. 24. The definition of "Released Class Claims" is "any and all actual, potential, filed, known or unknown, fixed or contingent, claimed or unclaimed, suspected or unsuspected, claims, demands, liabilities, rights, causes of action, disputes, contracts or agreements, extra-contractual claims, damages, punitive damages, exemplary damages, multiplied damages, expenses, costs, attorneys' fees or obligations, whether in law or in equity, accrued or unaccrued, direct or indirect, individual or representative, of every nature and description whatsoever, *regardless of whether arising out of or connected to the Data Incident*, *that were or could have been asserted in the Litigation* or other state, federal, local, statutory or common law or any other law, rule or regulation, against the Released Parties, or any of them, arising out of any facts, transactions, events, matters, occurrences, acts, disclosures, statements, representations, omissions or failures to act *regarding the alleged unauthorized access of the Settlement Class Members' personal information by any third party*, including all claims that were brought or could have been brought in the Litigation relating to the access of such information belonging to any and all Releasing Parties." (Settlement, ¶ 80.) This release, as

		worded, is too broad, to the extent it releases claims "regardless of whether arising out of or connected to the Data Incident," "that were or could have been asserted in the Litigation," and "arising out of any facts, [etc]., regarding the alleged unauthorized access of the Settlement Class Members' personal information by any third party." This release does not tether the release to only claims that were or reasonably could have been asserted in the complaint *based on the facts alleged* in the complaint. Indeed, Plaintiffs' counsel's declaration even states: "The Releases are directly tailored to the claims that were, or could be, asserted in the lawsuit based on the facts alleged in the complaint. See *Amaro v. Anaheim Arena Management*, LLC (2021) 69 Cal.App.5th 521, 538-539 ('Releases must be appropriately tethered to the complaint's factual allegations;' '[A] court cannot release claims that are outside the scope of the allegations of the complaint.')." (Counsel Decl., ¶ 31.) Yet the Settlement Agreement here is not worded to effect such tethering. 25. Further, the Settlement Agreement provides that the "Released Class Claims include the release of Unknown Claims. 'Unknown Claims' means claims that could have been raised in the Litigation and that any of the Plaintiffs or Settlement Class Members, and each of their respective heirs, executors, administrators, representatives, agents, partners, trustees, successors, attorneys, and assigns do not know to exist or suspects to exist, which, if known by him, her or it, might affect his, her, or its agreement to release Defendant and all other Released Persons, or might affect his, her, or its decision to agree to, or object or not to object to the Settlement." (*Id.* at ¶ 82.) This definition of "Unknown Claims" is also too broad as it is also not tethered to only claims that were or reasonably could have been asserted in the complaint *based on the facts alleged* in the complaint. 26. "Plaintiffs' Released Claims" contains essentially the same definition. While the Court will typically approve releases by the named Plaintiffs that are broader than the releases by absent Class Members, given the concerns the Court identified with respect to the broad language used in the definition of Released Class Claims, it is unclear whether the parties intended the named Plaintiffs' releases to be broader or whether the parties' simply included the inadvertently too-broad language to describe the named Plaintiffs' release. Plaintiffs' counsel must confirm with his clients that the named Plaintiffs intend to provide a broader release or re-word Plaintiffs' Released Claims accordingly. 27. The Settlement Agreement should specify that the Court's continuing jurisdiction is pursuant to California Code of Civil Procedure section 664.6 and California Rules of Court, rule 3.769(h). 28. Plaintiff's counsel must attest to whether there are any concurrent pending cases involving similar claims against Defendant that may be impacted by the settlement and how, or confirm that there is none. Plaintiffs submitted both a Long-Form Class Notice (Settlement, Exh. B) and two versions—i.e., a Postcard Notice and an Email Notice—of the Short-Form Class Notice (*id.*, Exh. C).

The following revisions must be made to the Postcard Class Notice:

1. The Postcard notice should include the following warning, in bold: "Your legal rights are affected whether you act or not act. Read this Notice carefully. You will be deemed to have carefully read and understood it."
2. The information provided in the Postcard and Email versions of the Short-Form notice should be the same.
    a. The Email version provides the option to "call 1-:XXX-XXX-XXXX" for more information. The Postcard version should also provide this option.
    b. The Email version of the Short-Form Notice states in the subject line: "You are Eligible to File a Claim." The same statement should be included in the Postcard version.
    c. The Email version of the Short-Form Notice specifies that this action is pending in the "Superior Court for Orange County, California." The same statement should be included in the Postcard version.
    d. The Email version of the Short-Form Notice states before the "Dear" line: "***Please read this Notice carefully and completely.***" (Emphasis original.) The same statement should be included in the Postcard version.
    e. The Email version states recipients may email the administrator to receive a paper copy of the claim form. The Long-Form Class Notice states that Class Members may "download a printable Claim Form from the website" or "email" the administrator. These same options should be included in the Postcard version.
    f. The Email version states that "Claims must be submitted online, mailed, or emailed by [Claims Deadline]." An email option for submitting Claims is not identified in the Settlement Agreement. If it is permissible, the parties should modify the Settlement Agreement to clarify that this submission method is acceptable, and this email option should be included in the Postcard version.
    g. The Postcard version uses both the terms "opt out" "exclude" at different times, while the Email version uses only the term "exclude" instead of "opt out." So as to avoid confusion, select either "opt out" or "exclude," and use that one term consistently throughout all forms of Class Notice.
    h. The Postcard version states: "If you opt-out, you cannot get make a claim for benefits from this Settlement." This sentence contains a typo. In fixing this typo, counsel should ensure this sentence states the same thing as the Email version.
3. To avoid ambiguity, the notice should not use two different terms, "Private Information" and "Personally Identifiable Information," to describe the same thing.
4. In describing how to object to the Settlement, the notice should specify that the recipient "may file a *written* objection by [Objection

Deadline] *or appear at the Final Approval hearing*" (italics used to denote language to be added).

5. The final sentence should read, "You may attend the hearing *or enter an appearance through counsel, all* at your own cost, but you do not have to" (italics used to denote language to be added).

The following revisions must be made to the Email Class Notice:

1. The Email notice should also include the following warning, in bold: "Your legal rights are affected whether you act or not act. Read this Notice carefully. You will be deemed to have carefully read and understood it."
2. Again, the information provided in the Postcard and Email versions of the Short-Form notice should be the same.
    a. The Postcard version explains, in the class definition section, that "[i]n this sentence, PII means Personally Identifiable Information." The same statement should be included in the Email version.
    b. The Postcard version includes this sentence in the section on "What are the Settlement benefits?": "Full details and instructions are available online and in the Long Form Notice." The same statement should be included in the Email version.
    c. As noted above, the Long-Form Class Notice states that Class Members may "download a printable Claim Form from the website." This same option should be included in the Email version.
    d. The Postcard version states in a heading, "What if I don't want to participate in the Settlement *or do not like it*?" (Emphasis added.) The italicized language does not appear in the Email version. The same phrase should be included in the Email version.
    e. The Postcard version states "*The Long Form Notice and* Settlement Agreement, available online, explains how to exclude yourself or object." (Emphasis added.) The italicized language does not appear in the Email version. The same phrase should be included in the Email version.
3. Again, to avoid ambiguity, the notice should not use two different terms, "private information" and "Personally Identifiable Information," to describe the same thing.
4. Again, in describing how to object to the Settlement, the notice should specify that the recipient "may file a *written* objection by [Objection Deadline] *or appear at the Final Approval hearing*" (italics used to denote language to be added).
5. Again, the final sentence should read, "You may attend the hearing *or enter an appearance through counsel, all* at your own cost, but you do not have to" (italics used to denote language to be added).

The following revisions must be made to the Long-Form Class Notice:

		1. The notice should be revised so as to be consistent with the resolution of all issues identified above with respect to the Settlement Agreement and the Short-Form Class Notice. 2. Under the chart summarizing the options available to Settlement Class Members, the "Do Nothing" option states that "[i]f you do nothing, you will not receive benefits or payments from this Settlement." Similarly, in Section 20, the notice states "[i]f you do nothing, you will not receive a benefit from this Settlement." But as the Court understands the Settlement Agreement, a Settlement Class Member who does not submit a Claim Form and who does not opt out would still be entitled to credit monitoring benefits under the Settlement Agreement. Therefore, the "Do Nothing" effects must be revised to clarify the benefits the Settlement Class Member would still receive versus not receive by doing nothing versus submitting a Claim Form or Opting Out. 3. The notice states: "All Settlement Class Members were *mailed a postcard* that provided their enrollment code." This is inaccurate, as the Short-Form Class Notice may have been provided by email rather than postcard. 4. The definition of the Released Class Claims from the Settlement Agreement should be set forth verbatim in Section 8. Class Members should not have to separately locate the Settlement Agreement to find the applicable definition. 5. Section 11 is titled "When will the Settlement benefits be issued?" The term "benefits" is broader than mere Class Payment. Therefore, this section should also address when the administrator will send instructions for activation of the credit monitoring service, in addition to Class Payments. 6. Also in Section 11, the notice should explain that multiple rounds of payments may be sent by the administrator in accordance with ¶ 35 of the Settlement Agreement, so that Claimants know what to expect. The notice should also provide that updates on the status of Claim Payments will be posted on the settlement website, which the administrator should also be sure to do. 7. In Sections 13 and 16, the notice should also state that any Class Member who does not request exclusion may, if the Member so desires, enter an appearance through counsel. (Cal. Rules of Court [CRC], rule 3.766(d)(5).) 8. In Section 14, the notice should explain that attorneys' fees and costs and the Service Award payment will be paid separately and apart from the PRSF. 9. Rather than having Class Members draft their own opt-out requests and objections, separate forms for each of these processes should be provided on the administrator's website. 10. In Section 16, the notice should make it clear that to object, the Class Member may *either* submit written objection *or* simply appear at the Final Approval hearing. Again, the Class Member does not need to submit a written objection first to be heard at the hearing. 11. In Section 16, Class Members should not be directed to send their written objections to the Court directly. Rather, all written objections should be sent to the administrator. The administrator and

		Class Counsel shall then compile all objections for submission along with Plaintiffs' Motion for Final Approval of the settlement. 12. In Section 18, this Court's address and department number can and should be filled in now so that the Court can verify accuracy. 13. In Section 20, the sentence "[y]ou will also give up the rights described in Question 8" is confusing. Section 20 should clearly specify that doing nothing means the Class Member would still be bound by the "Released Class Claims." 14. The notice should also specify that the judgment, "whether favorable or not," will be binding all Class Members who do not request exclusion. (CRC, rule 3.766(d)(4).) 15. In Section 21, the notice should also provide, for persons who wish to review the court's docket for the case, the court's URL. Class Counsel must also provide a revised [Proposed] Order Granting Preliminary Approval with the following revisions: 1. The proposed order should be revised to incorporate all the relevant revisions identified above. 2. The caption should specify that the department number and the judge to whom the case is assigned. 3. The title of the order should be amended to read "[Proposed] Order Granting Preliminary Approval of Class Action Settlement." 4. The date for the preliminary approval hearing should be updated to reference the continued hearing date. 5. The exact title of the Settlement Agreement should be used. 6. The proposed order should reference by name and ROA number all the declaration(s) to which the Settlement Agreement and any amendments thereto are attached. 7. The proposed order should specify the maximum amounts proposed to be paid by Defendant for attorneys' fees and litigation costs (including administration costs) and service awards. 8. The definition for "Data Incident" should be included directly in the proposed order. 9. Counsel should not leave blank but should instead propose a realistic Final Approval hearing date, taking into account the deadlines associated with mailing and remailing the notice and responses thereto and the documentation required to support final approval (including but not limited to time records or a summary of time spent by Class Counsel so as to enable the Court to evaluate the lodestar and attorneys' fee request; detailed litigation cost breakdowns; an Administrator declaration and invoice; and Plaintiffs' declarations to support the enhancement request). The Court usually sets these hearings at least 4 months after preliminary approval. All supporting papers must also be filed at least sixteen (16) court days before the Final Approval hearing date. 10. Also, as indicated above, any Motion for Fees, Costs, and Service Award should be filed per Code and heard concurrently with the Motion for Final Approval. 11. The proposed order should specify the Court's continuing jurisdiction is pursuant to both California Code of Civil Procedure section 664.6 and California Rules of Court, rule 3.769(h).

		The Court further refers Class Counsel to the "Guidelines for Approval of Class Action Settlements & PAGA Settlements" posted on the Court's website for Department CX102, available at https://voypubapps.occourts.org/complex-civil-calendar. Class Counsel must file supplemental papers addressing the Court's concerns no later than sixteen (16) court days prior to the continued hearing date. Counsel must also provide redlined versions of all revised papers and an explanation of how the pending issues were resolved with precise citation to any revisions. A supplemental declaration or brief that simply asserts the issues have been resolved is insufficient and will result in a further continuance. If supplemental papers addressing all of the Court's concerns cannot be filed by the pre-hearing deadline, Class Counsel must request a continuance. Failure to do so may result in the issuance of an Order to Show Cause re Monetary Sanctions. Plaintiff to give notice.
117	**Navarro Arevalo vs. Gold Coast Baking Company, Inc.** **2022-01243370**	**Status Conference**
119	**Johnson vs. Stremicks Heritage Foods, LLC** **2023-01351048**	**Motion for Approval of PAGA Settlement** The court has reviewed and considered the papers filed in support of plaintiff's motion for approval of a $200,000 PAGA settlement. The court has the following questions and comments: <u>As to the Settlement</u>: 1. The parties must confirm the final gross settlement amount, i.e., whether the escalator provision (¶ 22) has been triggered. 2. Plaintiff should provide the estimated a high, low, and average amounts of the individual PAGA awards. 3. Plaintiff must provide an invoice or quote from the settlement administrator. 4. The release provision (¶ 8) is overbroad and/or vague. Delete "Amended" from the first sentence as no amended complaint was filed. Delete "or" between "Action" and "based" in the first sentence. Delete the last sentence in paragraph 8 in its entirety.

Relatedly, the release should state it applies to such claims against defendant.

5. Provide the initial notice letter and any amended notice letters to the LWDA.

6. Plaintiff's counsel must disclose whether counsel has any fee-splitting arrangement with any other counsel, including the exact percentages, or confirm none exists.

7. The parties should state in declarations filed with the court whether they are aware of any class, representative or other collective action in any other court that asserts claims similar to those asserted in this case. If any such actions are known to exist, the declarations shall state the name and case number of any such case and the procedural status of that case, and describe the impact of the proposed settlement on that case.

8. Plaintiff's counsel seeks attorneys' fees totaling 1/3 of the gross settlement amount. Absent unique circumstances, the court is unlikely to approve an attorneys' fee award that exceeds 30%. Additionally, the claimed lodestar appears to include hours incurred outside this PAGA-only matter. Counsel should provide the lodestar for this matter only and explain why any other hours incurred in other cases should be considered here.

9. Plaintiff's counsel seeks litigation costs in the amount of $13,652.64. ROA 75 ¶ 56 Ex. 3. The request includes numerous costs the court does not reimburse and should be removed, including postage ($21.38, $8.65, $8.65, $8.53) and legal research ($670). Id. Additionally, it appears numerous costs relate to the class and/or other actions ($219.97, $15.65, $1,492.98). Plaintiff should clearly identify the costs incurred in this PAGA-only action and explain why costs incurred in any other action should be reimbursed here. Additionally, the $9,000 cost for mediation must be supported by an invoice. Id.

10. The court is unlikely to approve an enhancement award in excess of $5,000 for plaintiff absent unique circumstances.

<u>As to the Notice</u>:

11. The settlement (¶ 18) purports to attach a notice as Exhibit A, but nothing is attached or otherwise provided for the court's review.

12. The notice should be prepared consistent with all of the above.

13. The notice must explain the claim and the financial terms of the settlement, including the portions and amounts for the LWDA and Aggrieved Employees, and explain and include the revised release.

14. The notice must inform aggrieved employees they cannot exclude themselves from the settlement and that they will not suffer retaliation by cashing their checks.

15. Plaintiff must also confirm whether the notice needs to be prepared in languages other than English.

As to the Proposed Order and Judgment:

16. The proposed order and judgment should be revised consistent with the above.

17. Remove counsel's information from caption page.

18. The settlement and notice, in all languages, should be identified and attached as exhibits. ¶ 2.

19. The term "Released Parties" does not appear in the settlement and should be removed. ¶¶ 2, 13.

20. As explained above, the GSA must be certain. ¶ 5.

21. The service award and administration costs will be certain, not "up to." ¶¶ 8-9.

22. Include the actual release, which should be referred to in its singular form. ¶ 11.

23. Remove the sentence "Plaintiff and all Aggrieved Employees will be forever barred from pursuing against Defendant any and all Settled Claims during the PAGA Period." ¶ 11.

24. Include the following paragraph: "The court orders the parties and the settlement administrator to administer the settlement in accordance with the terms of the settlement agreement."

25. Propose a date for a final accounting hearing. The court conducts final accounting hearings on Thursdays at 2:00 p.m. The proposed order and judgment shall state that counsel shall submit a final administrator's report at least 16 court days before the hearing addressing the status of the settlement administration, including the actual amounts paid to the aggrieved employees and the other amounts distributed under the settlement, including any uncashed checks.

The hearing on plaintiff's motion for approval is continued to December 3, 2026 at 2:00 p.m. in Department CX102 to permit the parties to address and respond to the above issues. A supplemental brief shall be filed at least 16 court days before the hearing and shall address as necessary each of the above points. The parties must provide redlined versions of all revised

		documents (e.g., revised settlement agreement, revised notice, revised proposed order) and any settlement provisions revised via amendment. Plaintiff is ordered to give notice, including to the LWDA, and to file proof of service. Plaintiff must also serve the LWDA with any supplemental brief and any amended settlement documents and file proof of service.
120	**Romero vs. BSH Home Appliances Corp** **2024-01386303**	**Motion for Approval of PAGA Settlement** The Court has reviewed the supplemental materials provided by Plaintiff's Counsel and finds that they adequately address the previously identified issues. Accordingly, Plaintiff Christina Romero's Motion for Approval of PAGA Settlement is **GRANTED**. This is a PAGA-only action. On 3/18/2024, Plaintiff Christina Romero filed a PAGA complaint against Defendant BSH Home Appliances Corp. (ROA #2.) Defendant answered on 5/15/2024. (ROA #15.) The operative complaint is the first amended complaint, filed on 1/8/2025 pursuant to the parties' stipulation and the court's order granting leave, which alleges a single cause of action for PAGA civil penalties based on various Labor Code wage-and-hour violations. (ROA #44.) On 9/4/2025, Plaintiff filed the instant Motion for Approval of PAGA Settlement and submitted for the Court's review the Joint Stipulation of PAGA Settlement. The motion seeks approval of the parties' proposed settlement of Plaintiff's PAGA claims for the non-reversionary gross settlement amount (GSA) of $360,000. The settlement includes the claims of 191 PAGA Aggrieved Employees, defined as "All persons who are or were employed by Defendant as hourly non-exempt employees in the State of California at any time during the PAGA Period." The PAGA Period is 1/10/2023 to 8/10/2024. On 1/29/2026, the Court continued the first hearing on the motion and asked Plaintiff's counsel to address various issues. (ROA #79.) On 6/4/2026, the Court continued the second hearing on the motion and asked Plaintiff's counsel to address various issues. (ROA #92.) Plaintiff has now submitted the parties' First Amendment to Joint Stipulation of PAGA Settlement and a revised cover letter/notice to aggrieved employees that will accompany the payment to them. (See ROA #95, Exhs. 2-3.) Based on a review of all submissions made in support of the Motion, the Court finds the settlement is fair, adequate, and reasonable.

		The Court previously concluded that an attorneys' fee award totaling \$108,000 or 30% of the GSA, constituting a 0.92 multiplier of the lodestar amount, is fair, adequate, and reasonable for a settlement of this size, including considering the action's contingent nature and the results achieved. The Court also previously concludes that litigation costs should not include overhead or nonrecoverable items such as postage. Therefore, the Court deducted from the requested amount \$264.60 from the requested amount. The Court also previously concluded that a Plaintiff Service Payment of \$3,000 is fair, adequate, and reasonable for a settlement of this size. Accordingly, the Court approves the following specific awards and disbursements from the GSA: • Attorneys' fees totaling \$108,000 awarded to Plaintiff's counsel; • Litigation costs totaling \$16,197.00 awarded to Plaintiff's counsel; • Settlement administration costs of \$3,979.00 awarded to Simpluris, Inc.; • Plaintiff Service Payment of \$3,000 awarded to Plaintiff Christina Romero; and • \$171,618.00 remitted to the Labor and Workforce Development Agency (LWDA) for its 75% share of the PAGA penalties. The Net Settlement Amount payable to all Aggrieved Employees is \$57,206.00, in accordance with the terms of the Settlement Agreement. **Final Accounting is set for 6/17/2027 at 2:00 p.m. in Department CX102**. Counsel shall submit the final report of the settlement administrator regarding the status of the settlement administration no later than sixteen (16) court days prior to the hearing. The final report must include all information necessary for the Court to determine the total amount of the settlement funds actually paid to the Aggrieved Employees and all others in accordance with the Settlement, as well as the amount of unclaimed funds, if any, remitted to the State Controller's Unclaimed Property Fund. If the settlement funds are not completely disbursed by the report deadline, counsel must request a continuance. Failure to do so may result in the issuance of an Order to Show Cause re Monetary Sanctions. Plaintiff to give notice of this ruling, including to the LWDA, within five (5) court days, and file proof of service.

121	**Medicredit Wage and Hour Cases** **JCCP 5269**	**1. Motion to Certify Class Certification** **2. Motion to Deny Class Certification** **3. Trial Setting Conference** The Court has reviewed the parties' joint Second Amended, Revised, Proposed Class Notice (ROA #643, 645) submitted in response to the Court's 7/2/2026 minute order. The Court finds that this further revised class notice adequately addresses the Court's previous concerns. Accordingly, the Court **GRANTS** approval of the form and content of the notice. Plaintiff previously proposed the manner of notice at ROA #564, with a proposed order submitted as Exhibit B in ROA #573. Defendants do not appear to have objected to the manner of notice. Accordingly, the Court also **GRANTS** approval of Plaintiff's proposed manner of notice. To facilitate the Court's entry of signed order, Plaintiff is **ORDERED** to separately submit a final proposed order, including the approved Second Amended, Revised, Proposed Class Notice as an exhibit. Plaintiff shall give notice of this ruling.
122	**Barraza vs. Alta Newport Hospital, LLC** **2023-01304199**	**Final Accounting** The settlement administrator, CPT Group. Inc., has confirmed that the distribution of the settlement funds has been completed and made in accordance with the terms of the settlement that were approved by the Court. As the parties have shown that the administrator's work is complete, the Court's file may now be closed. Plaintiff is ordered to give notice of this ruling to Defendant.